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WS Global CIO Office
06 March 2026

Market Watch

China's 2026 NPC takeaways

Summary

Event: The National People's Congress (NPC) Government Work Report announced a 2026 economic growth target of 4.5-5.0%, moderating from 2025's 5.0%. Fiscal deficits and special bond issuances were broadly in line with expectations.

Our View: Moderately loose monetary policy and proactive fiscal policy are aimed at (i) boosting domestic consumption and investment, (ii) fostering innovation, and (iii) signaling commitment to curbing deflation and managing risks.

Investment strategy: Policy support reinforces our overweight view on China within Asia ex Japan equities. Policy direction aligns with our barbell strategy that favours both high dividend non-financial state-owned-enterprise H shares and the Hang Seng technology sector.

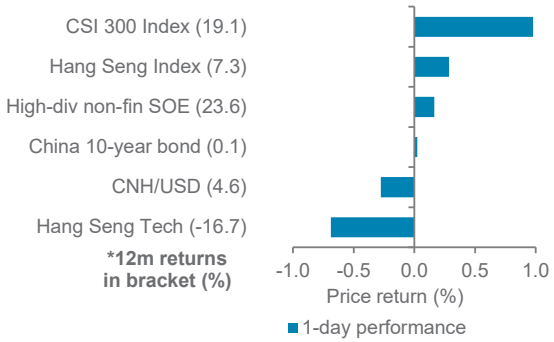
We expect CNH to be rangebound in the near term given the growth target and uncertainty in the Middle East, but expect USD/CNH to trend towards 6.75 in 12 months.

Key NPC target highlights

Premier Li Qiang delivered the Government Work Report as the NPC commenced on 5 March. The GDP growth forecast this year has been set at 4.5-5%, the CPI target set at 2% and the official fiscal deficit at 4% of GDP. The growth target, while lower than last year's 5%, is in line with our expectation and should be viewed as pragmatic amidst the volatile external environment and domestic challenges, as China embarks the 15th 5-Year Period (5YP) with a focus on growth quality and risk control. This quality focus is illustrated by the commitment to cutting carbon dioxide emissions per GDP unit by 3.8% this year and 17% over the next 5 years.

China asset class performance since NPC started

1-day and 12-month asset class returns, as of 5 March



Source: Bloomberg, Standard Chartered

Key 2026 Government Work Report targets

	2026 Target	2025 Achieved	2025 Target
Real GDP growth	4.5%-5%	5%	5%
CPI	2%	0.1%	2%
Official budget deficit (% GDP)	~4%	4%	4%
Ultra-long central govt bond issuance (CNY tn)	1.3	1.3	1.3
Special bond issuance for large banks (CNY tn)	0.3	0.5	0.5
Urban unemployment rate	5.5%	5.2%	5.5%
Urban job creation	>12m	12.67m	12m

Source: NPC, Standard Chartered

Monetary and fiscal policy support

Moderately loose monetary policy: Policymakers aim to overcome deflationary pressures through continued pursuit of moderately loose monetary policy. This includes a flexible reduction in the reserve requirement ratio and policy rates to lower funding costs while maintaining a stable CNY.

Fiscal stimulus taking the driver's seat: The official budget deficit is targeted at 4% of GDP, pushing public budget expenditure to a new high of CNY 30tn. Proposed ultra-long special government bond issuance is CNY 1.3tn, aimed at supporting strategic security and infrastructure projects as well as consumption and equipment upgrades. Special bond issuance aimed at shoring up bank capital, however, was lowered to CNY 0.3tn (from CNY 0.5tn in 2025).

Foster technology innovation and stimulate investment: Authorities are focused on accelerating the development of an AI open-source community, semiconductors, biotech and a 'low-altitude economy'. To lift the contribution of the digital economy from 10.5% now to 12.5% of GDP over the 15th FYP, several frontier industries were identified as key areas of development, namely, quantum computing, embodied intelligence, brain-computer interface, future energy, aerospace, and 6G. CNY 200bn has been earmarked for large-scale equipment upgrade.

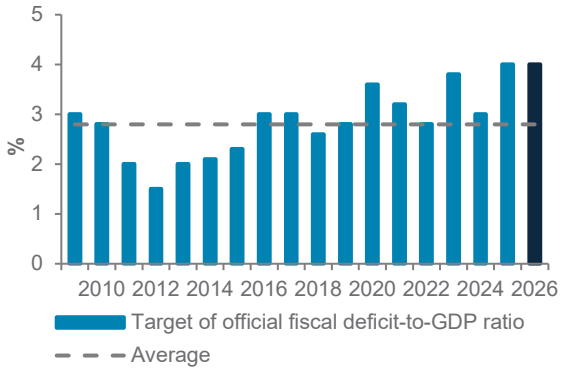
Broaden consumption support to services and rebalance trade: Consumer goods trade-in subsidies were scaled back to CNY 250bn from CNY 300bn in 2025, but a CNY 100bn fund has been set up for loan interest subsidies and financing guarantees for service providers to grow consumption beyond 40% of GDP. Also, measures such as better social welfare coverage, improved housing conditions for the newly-wed or first child, and reduced negative list for cross-border trade are aimed at enhancing sentiment and narrowing trade imbalances.

Tackle irrational competition and property risks: Efforts are expected to be intensified at a sector level to monitor market pricing and implement capacity control, in order to stabilize pricing and enhance profit margins, helping to counter deflationary pressures. As for the property sector, the focus seems to have shifted from stemming price declines to supply-led stability, including ensuring timely delivery, providing ample quality affordable housing, as well as managing inventory at the local level.

— **Raymond Cheng, CFA, CPA**
Chief Investment Officer, North Asia

China keeps its official fiscal deficit at a historic high level of 4% of GDP to bolster economic growth

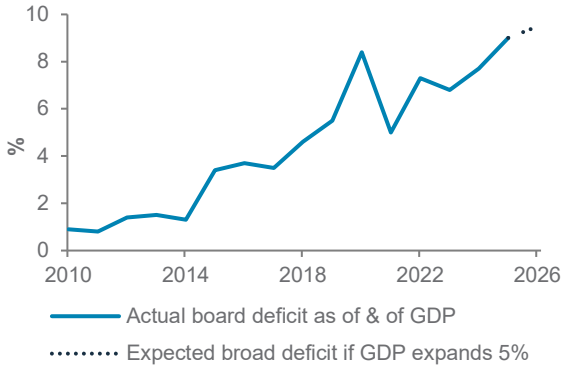
China's annual official fiscal deficit target (% of GDP)



Source: Bloomberg, Standard Chartered

China's broad deficit to GDP ratio is expected to continue rising towards 10%

Annual broad deficit (% of GDP)



Source: Bloomberg, Standard Chartered

Curbing irrational competition a component of strategy to contain deflationary pressures

CPI index %y/y

Source: Bloomberg, Standard Chartered

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Market Watch presentation

Iran – watching oil prices

A guide for volatile markets

March 2026

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WS Global CIO Office

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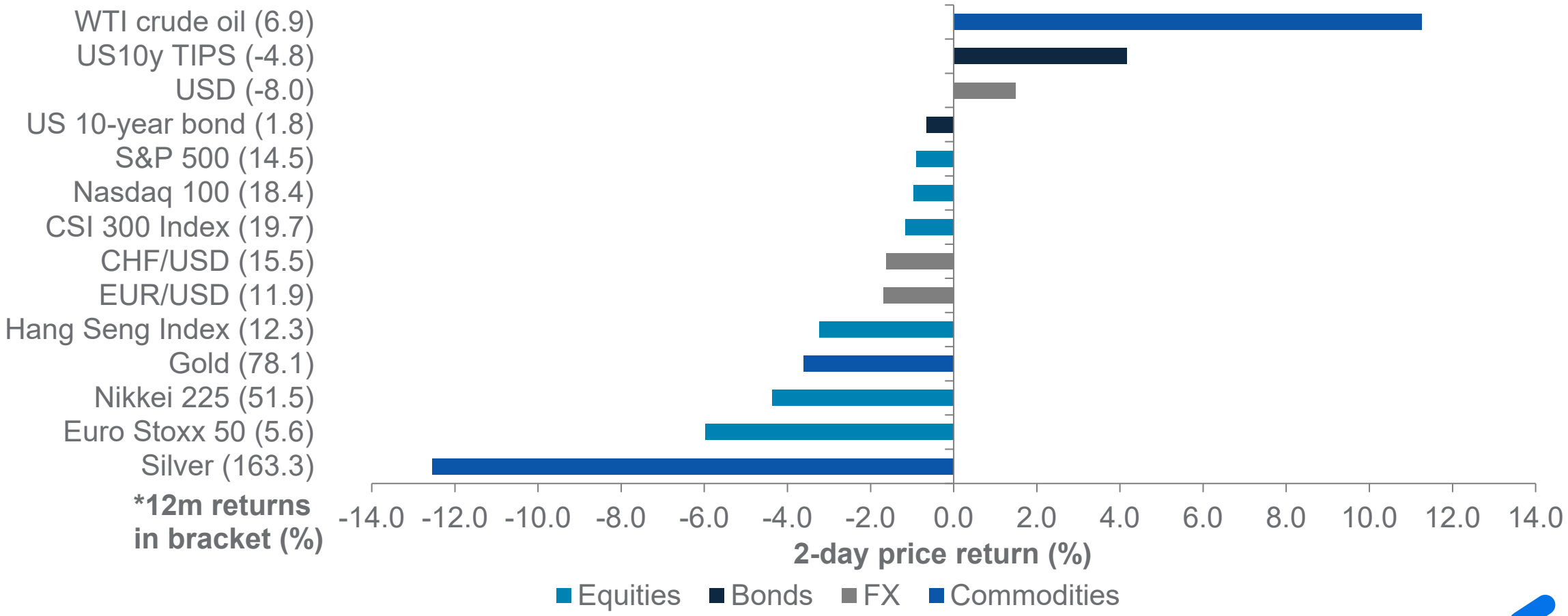
What is happening in markets today?

Stocks slump, while oil, inflation-linked bonds and USD rise amid the Iran crisis

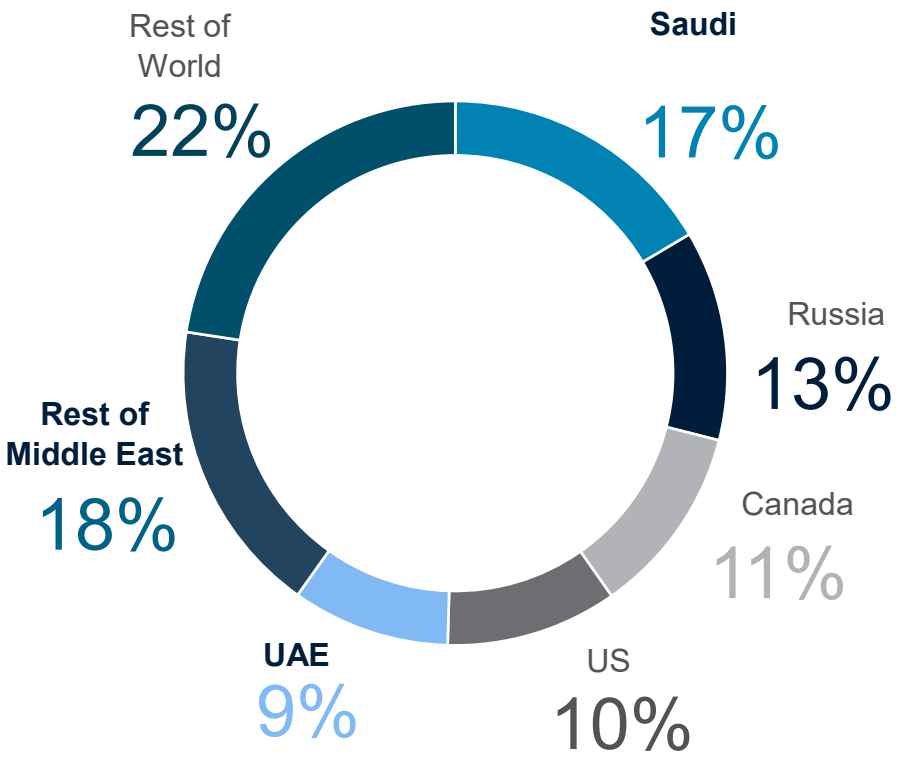
Asset class returns, 2-days and over 12 months

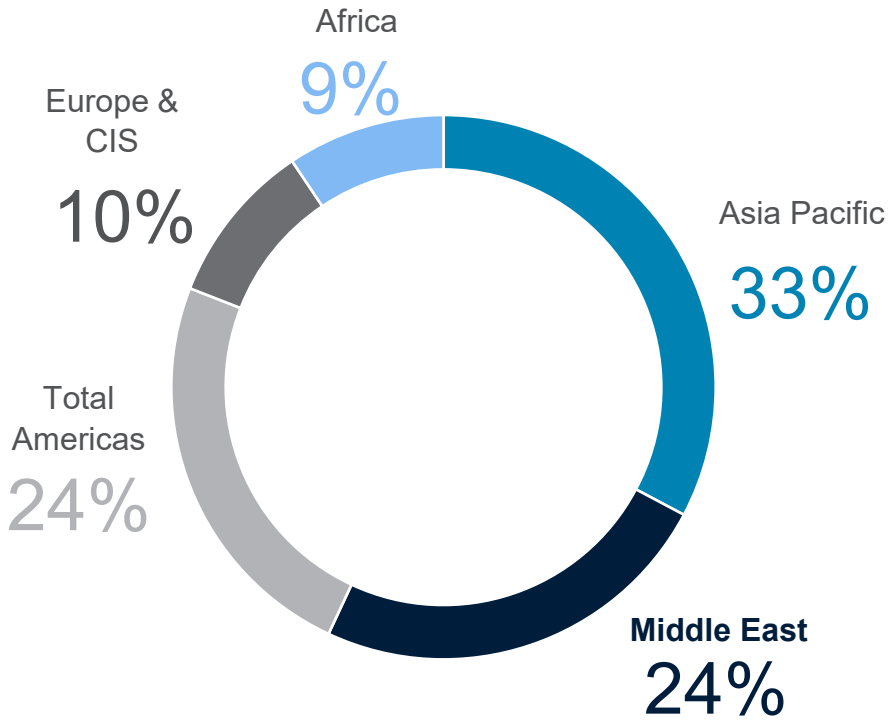


Source: Bloomberg, Standard Chartered. As of 3-Mar-2026 close.

Iran conflict impacts a region providing significant global oil & gas supplies

Share of various regions in global crude oil (LHS) and liquefied natural gas (RHS) exports

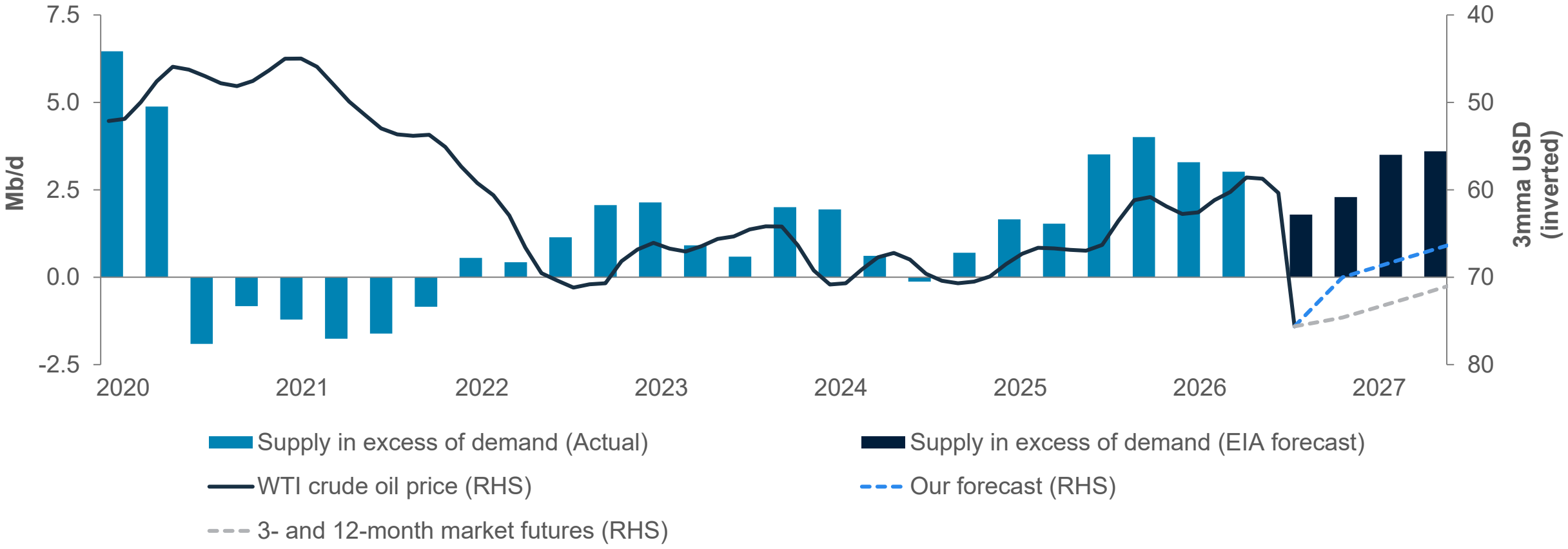




Source: Energy Institute Statistical Review, Standard Chartered

Oil: The oil market is in surplus, but most excess supplies are in the Middle East (Saudi Arabia and UAE); open Hormuz Strait shipping lane key for markets

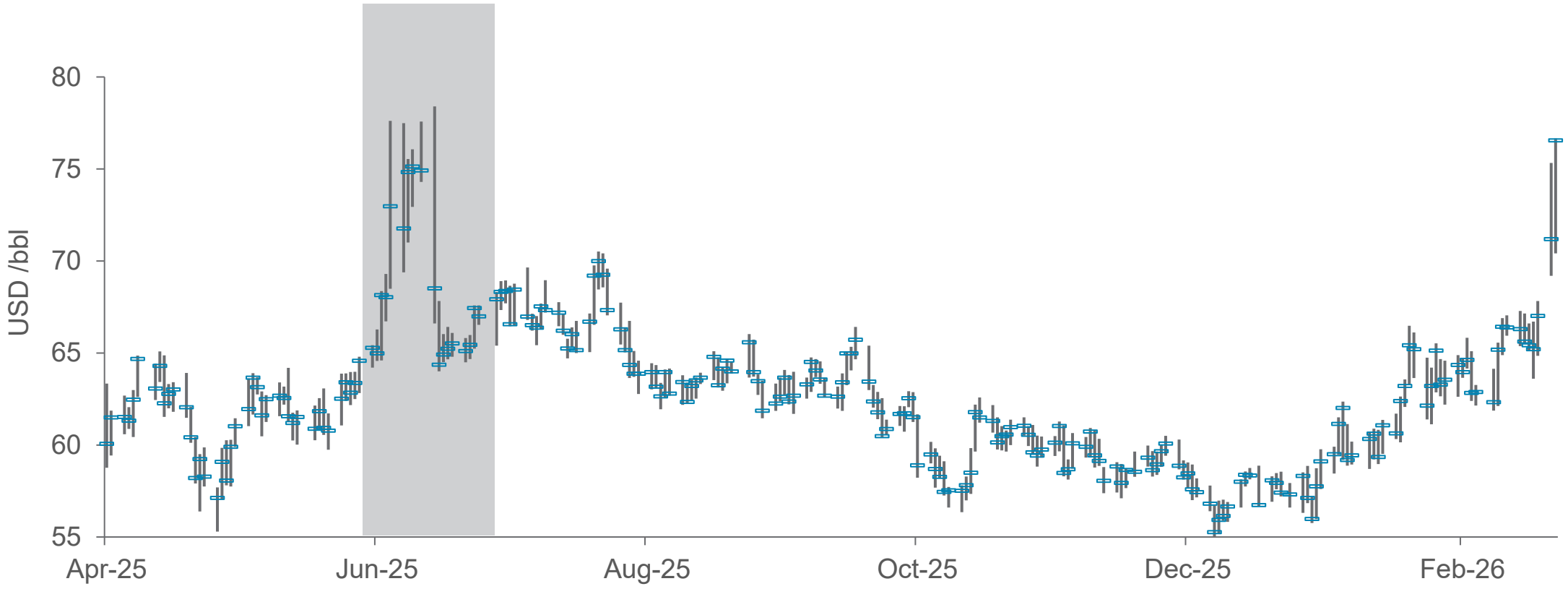
Total world crude oil supply vs. demand



Source: EIA, Bloomberg, Standard Chartered

Our base scenario is a short-lived conflict, similar to mid-2025 12-day war; oil prices could rise briefly towards USD 80/bbl, before retracing to c. USD 60/bbl

WTI crude oil prices (high, low and daily close prices)



Source: Bloomberg, Standard Chartered

What are our views?

Three scenarios: A short conflict lasting a few weeks remains our core scenario

- **Focus to return to strong economic and corporate earning fundamentals, Fed rate cuts and global benefits of a weak USD**
- **CIO base case – S&P 500 12-month target at 7,800**

Our base case assumptions

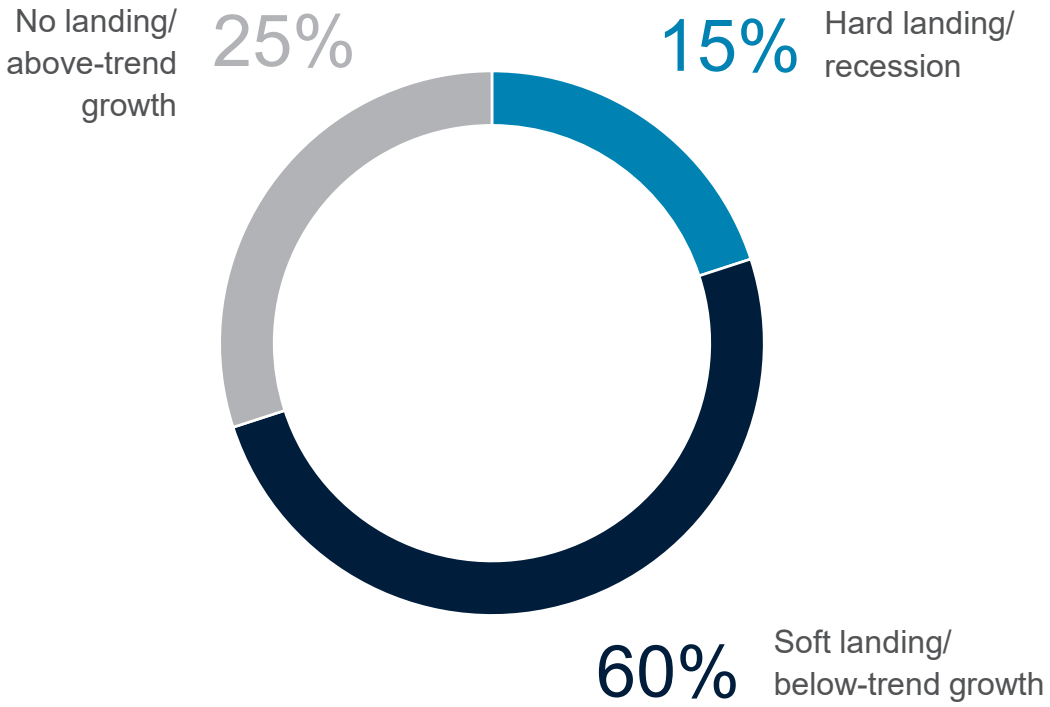
- US avoids recession in 2026, grows <1.8%
- US 2026 CPI to be above 2% target
- Fed cuts by 75bps to 3% by Dec-26
- USD weakens further over 12 months
- 10-year US Treasury yield falls to 3.75% by Dec-26
- Gold prices to rise, with a target of USD 5,350/oz by Dec-26

Scenarios (by Dec-26)	Spot*	Few days war **10%**	Few weeks war **60%**	Prolonged conflict **30%**
Fed funds rate (upper bound)	3.75%	3.0%	3.00%	3.75-4.25%
S&P 500	**6,882**	**7,800**	**7,800**	**4,800**
UST 10Y	**4.09%**	**3.50%-4.0%**	**3.75%**	**0.1%-2.1%**
DXY	98.9	96	96	Global recession scenario: 105 US recession scenario: 90
US high yield spread	289bps	280-300bps	290bps	450-800bps
Gold	USD 5,320/oz	USD 5,350/oz	USD 5,350/oz	USD 5,500/oz
Outlook		**Significant equities rally, bonds mixed** Risk assets to rally, rebounding the brief selloff, if the war ends in a few days. Emerging Market equities and bonds to lead the rebound as oil prices fall back to USD 60bbl amid ample supplies. USD to resume weakness	**Equities higher, bonds slightly higher** AI monetization gathering momentum, resilient labour market and consumption, helped by central bank rate cuts, Economy avoids recession, but grows below trend, enabling rates to stay low	**Bonds down, equities down** Stagflation risk from higher oil prices leads to rising unemployment, higher inflation and valuation de-rating in equities, Fed holds or hikes rates due to rising inflation expectations.
Assets to Add		Equities, EM bonds	Equities, Gold	Gold, inflation-protected US government bonds, alternatives, USD (in global recession scenario)
Assets to Avoid		Credit, USD	Credit, USD	Equities, Credit, importer currencies

Source: Standard Chartered; Bloomberg, as of 3 March 2026

Macro: ‘Soft-landing’ central scenario. Rising inflation expectations a risk

Soft-landing still our base case, but rising odds of a ‘hard-landing’ and rising inflation expectations

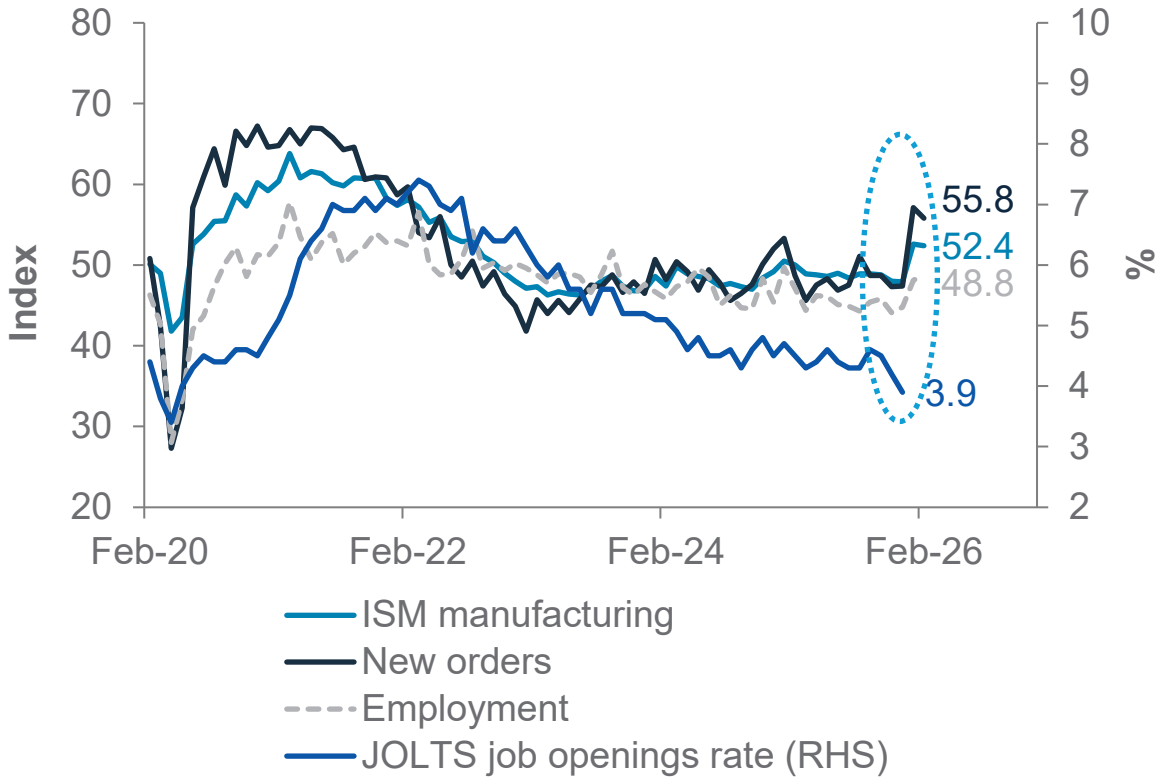


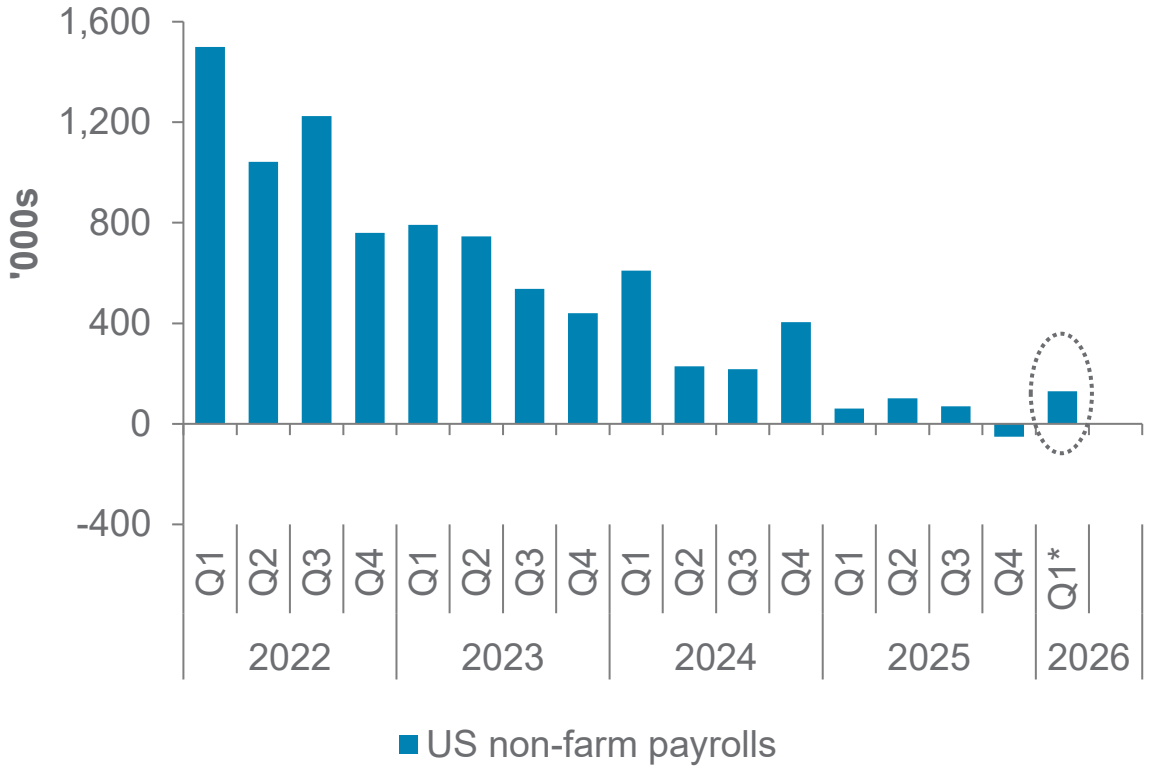
Long-term expectations remain subdued but short-term inflation expectations have risen this week

Source: Bloomberg, Standard Chartered

Macro: While US activity indicators are recovering, a still-tepid job market points to further Fed to cut rates to 3% by December 2026

As job market stays soft and tariff impact on inflation remains limited, we see three 25bps Fed rate cut by end-2026





Source: Bloomberg, Standard Chartered. *Q1'26 as of January 2026

Trump’s Impossible Trinity: Keeps Trump from prolonging tensions

Trump’s Impossible Trinity

Trump’s Wish 1

Fight the
Iran War

Trump’s Wish 2

Support a slowing
US economy

Trump’s Wish 3

Not stoking inflation/
Not derailing the Fed’s rate cut cycle

What has been the reality?

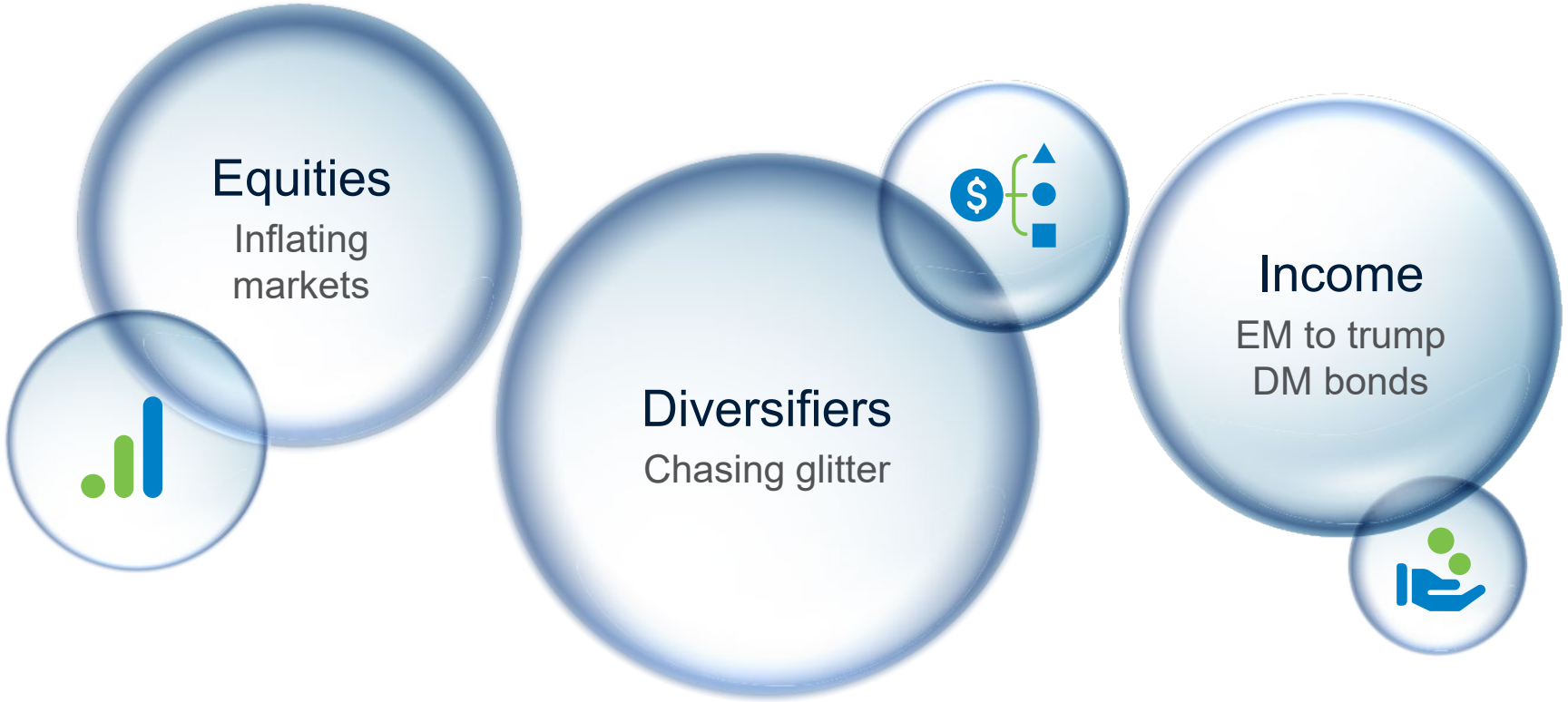
- Initially pushing for negotiated solution
- Supreme Court ruling against tariffs a domestic political setback, likely forcing hawkish foreign policy turn
- **Achilles’ heel:** soaring oil/gas prices

- **“Trump Put”** – backing off from escalating tensions when markets react negatively
- Weakening job market
- Tax cuts, AI investments to support the economy

- Inflation data on the downtrend
- Trump has this “**window of opportunity**” to push through his own geopolitical agenda, such as Iran.
- Growth outlook holding up, but long conflict to trigger inflation spike

Source: Standard Chartered

2026 Outlook: Blowing bubbles?



Opportunistic ideas

Equity

US: Technology, pharma, utilities, aerospace and defence^

Asia: China non-financial high-divi SOEs (H-Shares), Hang Seng technology, India large & mid-cap

Europe: Banks

Fixed income

US: Treasury Inflation-Protected Securities (TIPS), short-duration HY, AAA Collateralised Loan Obligations (CLOs)

Europe: CoCo bonds*

Asia: Asia IG

Risks

- Negative shock to AI theme
- Inflation surprise that limits room for Fed to cut rates
- Credit event that leads to systemic default risk concerns
- Hawkish BoJ hurting global liquidity

***Contingent Convertibles** (CoCos) are complex financial instruments. Refer to Important Information on slide 74 for further details

^ New idea

Equities: Lessons from the 2003 Iraq war suggests initial reaction a knee-jerk

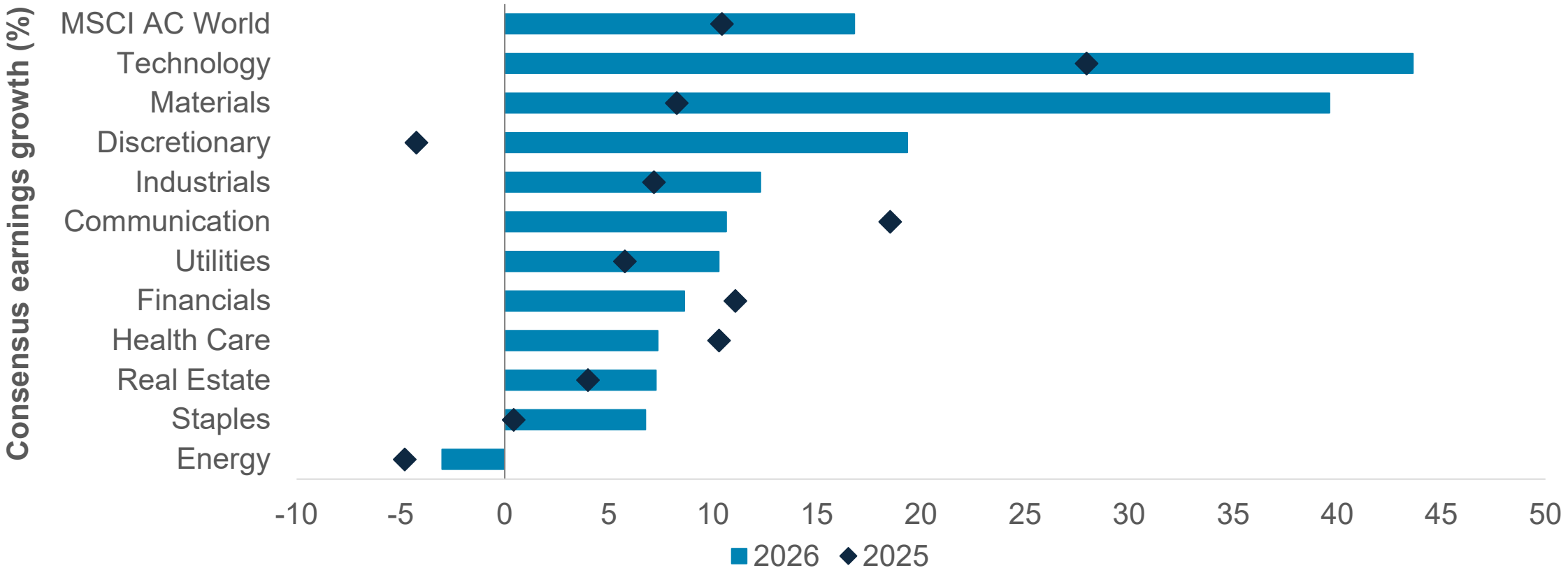
After the initial correction, markets mostly recovered within 30 days. Energy, materials and defensives relatively resilient

	10-day returns	30-day returns
World	-4.6%	1.1%
Energy	-1.7%	0.7%
Materials	-3.9%	1.0%
Technology	-7.9%	-0.9%
Financials	-5.4%	3.9%
Telecoms	-4.3%	0.9%
Utilities	-1.1%	4.3%
Discretionary	-5.4%	1.3%
Staples	-3.1%	0.5%
Health Care	-3.0%	-1.5%
Industrials	-5.3%	0.4%

Source: FactSet, Bloomberg, Standard Chartered

Equities: Market focus to eventually shift to fundamentals

Consensus earnings growth for MSCI AC World sectors



Source: FactSet, Bloomberg, Standard Chartered

Equities: Near-term attention on commodity-based sectors

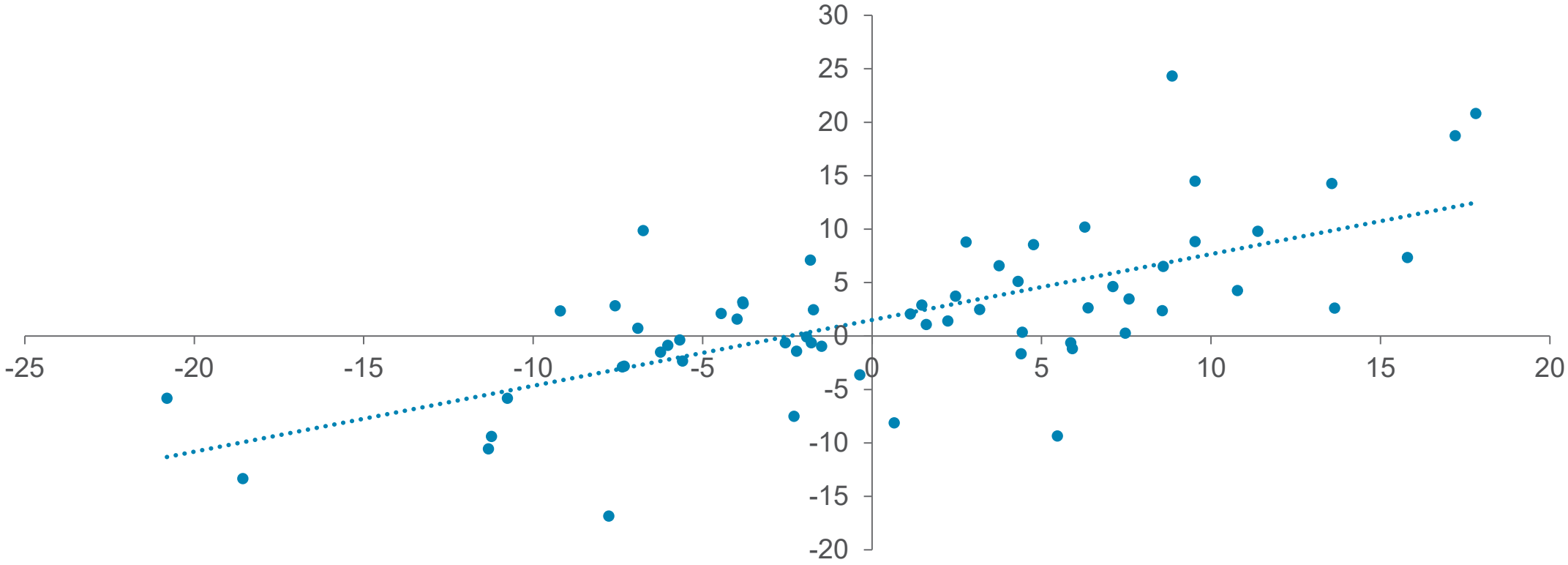
Current MSCI weights of Energy and Materials sectors across markets

	Energy	Materials
World	3.9%	4.2%
US	3.5%	2.2%
Euro zone	3.5%	3.9%
UK	10.2%	8.6%
Asia ex Japan	2.6%	4.1%
China	2.8%	5.7%
India	8.8%	8.6%
Japan	1.0%	3.5%
Australia	3.6%	22.8%
Canada	16.9%	16.8%

Source: FactSet, Bloomberg, Standard Chartered

US energy sector equities tend to benefit from higher oil prices

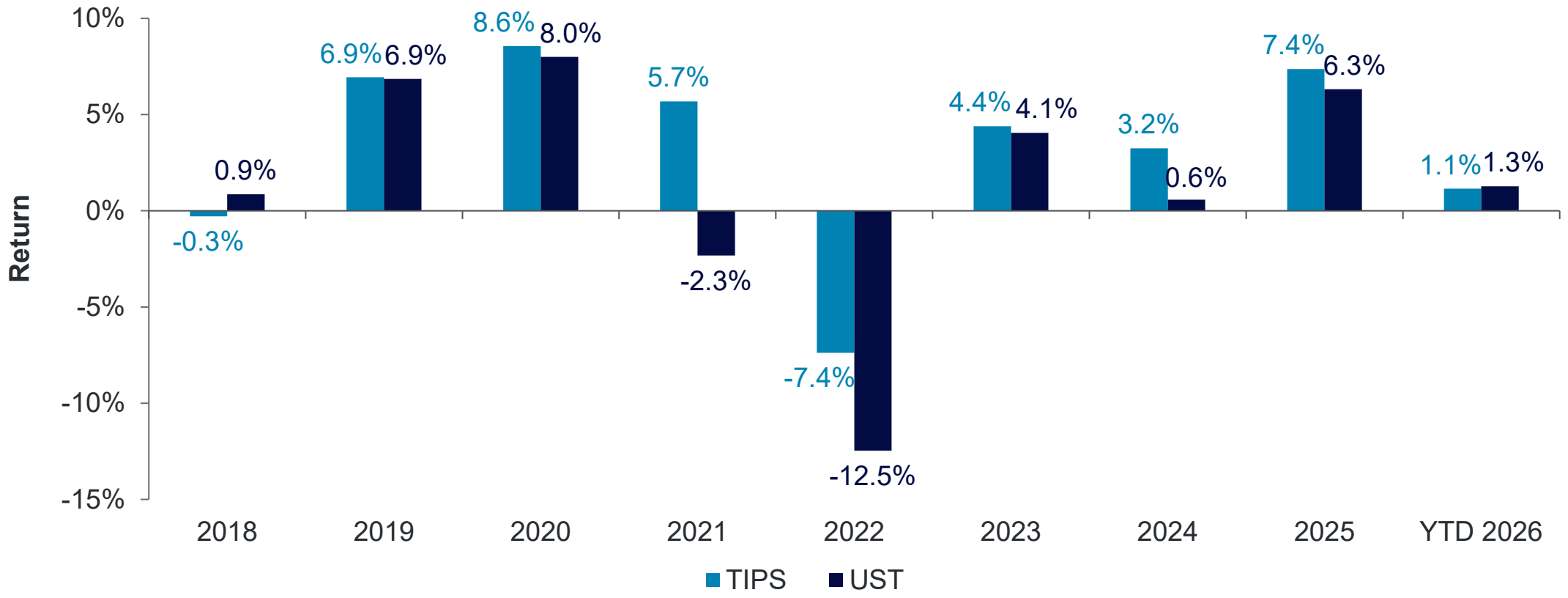
Monthly percentage change in WTI crude oil price (x-axis) and US energy sector equities (y-axis)



Source: Bloomberg, Standard Chartered

Bonds: US Treasuries benefit from risk-off scenario; US inflation-protected bonds act as a hedge during times of higher inflation

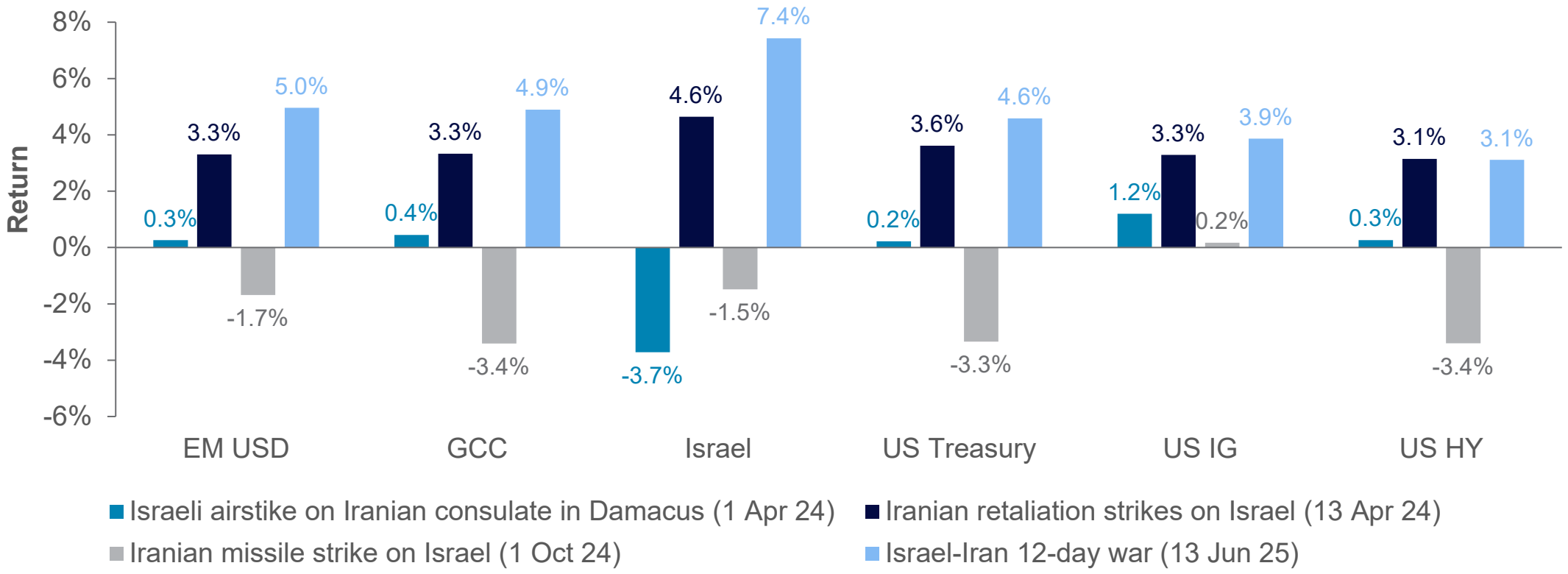
US Treasury inflation-protected securities (TIPS) and US government bonds



Source: Bloomberg, Standard Chartered

Bonds have mostly delivered positive return after prior Middle East conflicts

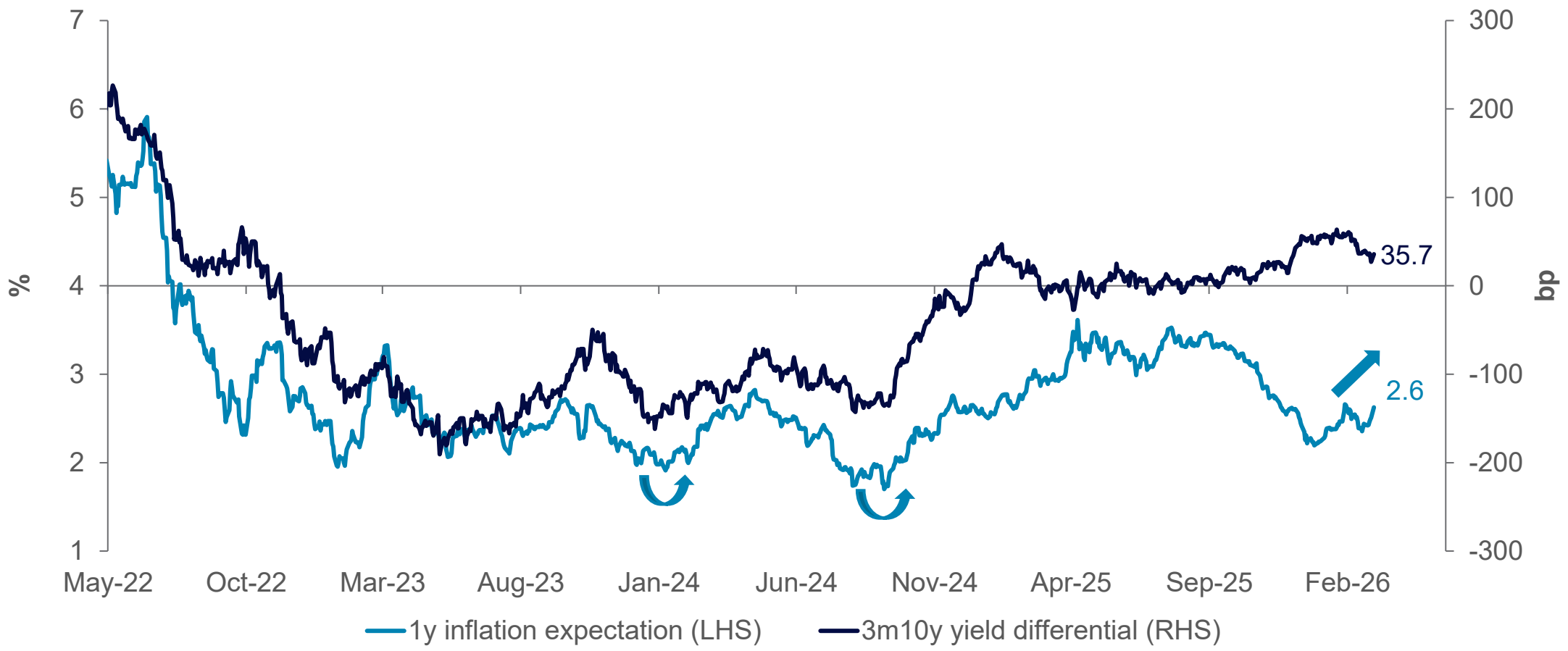
3-month return following escalations in recent prior Israel-Iran conflicts



Source: Bloomberg, Standard Chartered

Bonds: US yield curve could steepen again as inflation expectation rises

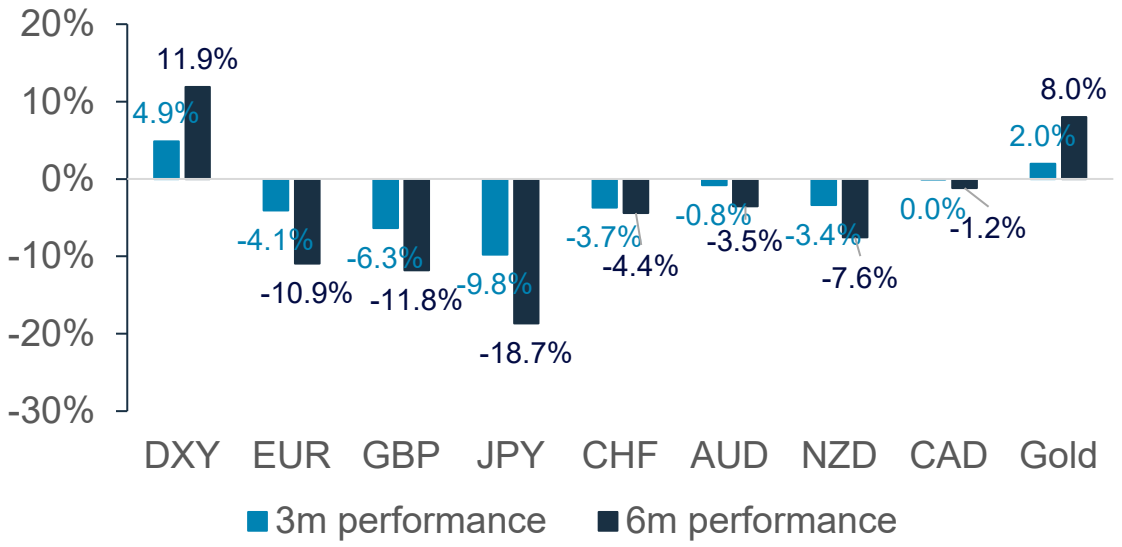
1-year USD inflation swap rate and 10-year minus 3-month yield differentials



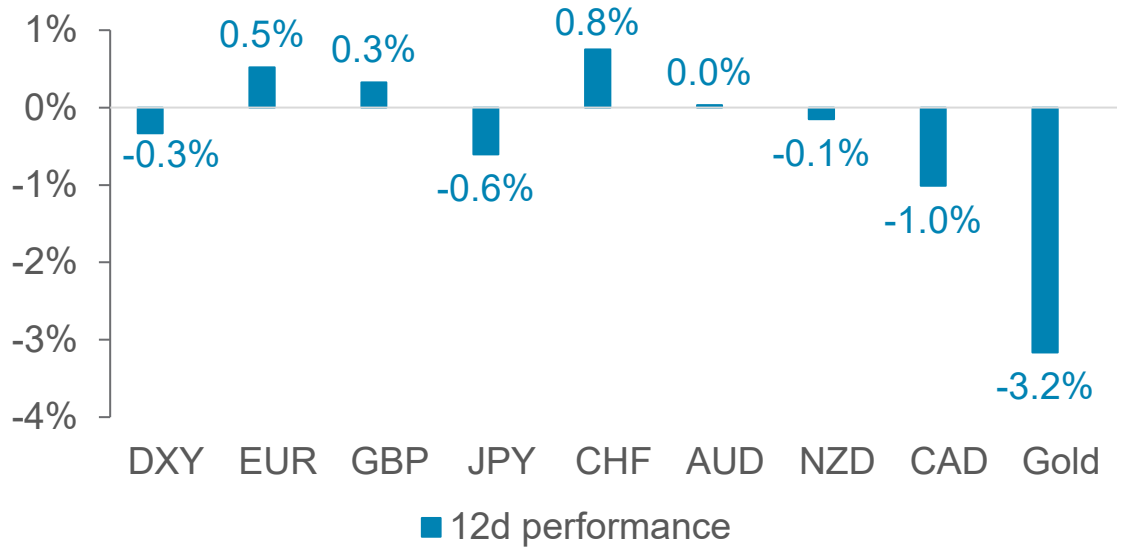
Source: Bloomberg, Standard Chartered

FX: USD and gold outperformed during the first six months of the Ukraine war; European currencies outperformed during last year's 12-day conflict

G7 currency performance during the first six month of the Ukraine war (Feb to Aug 2022)



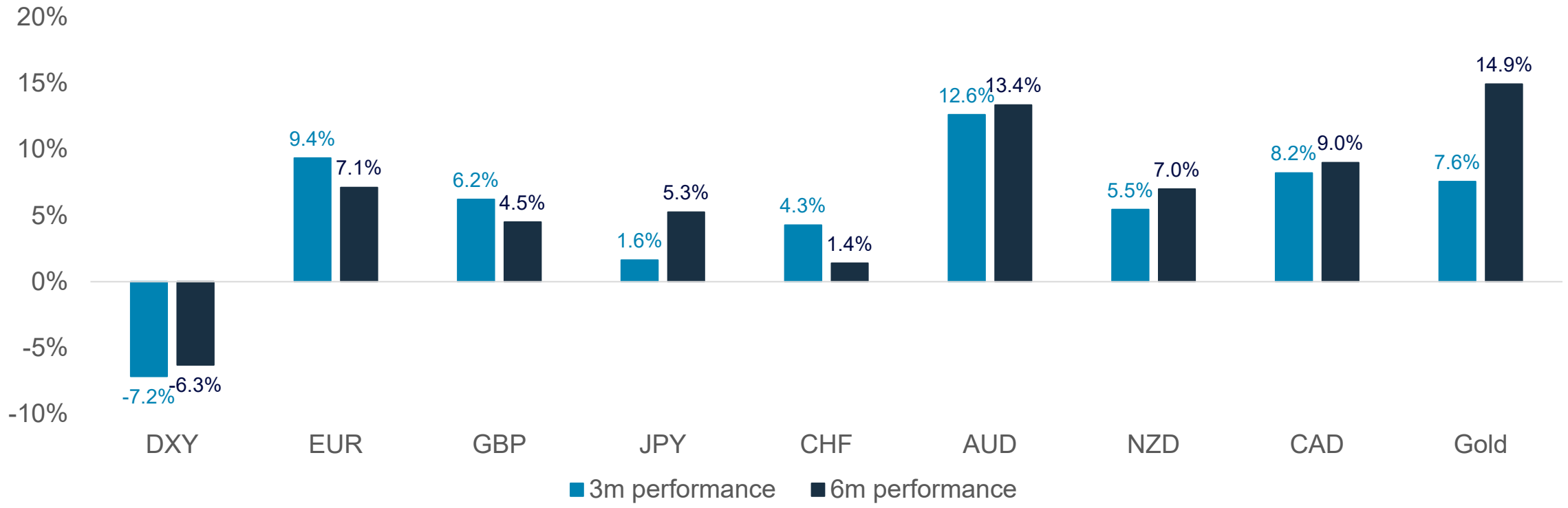
G7 currency performance during 12-day US-Iran war 2025 (13 to 24 Jun 2025)



Source: Bloomberg, Standard Chartered

FX: USD underperformed during the Iraq invasion 2003; other currencies and gold outperformed

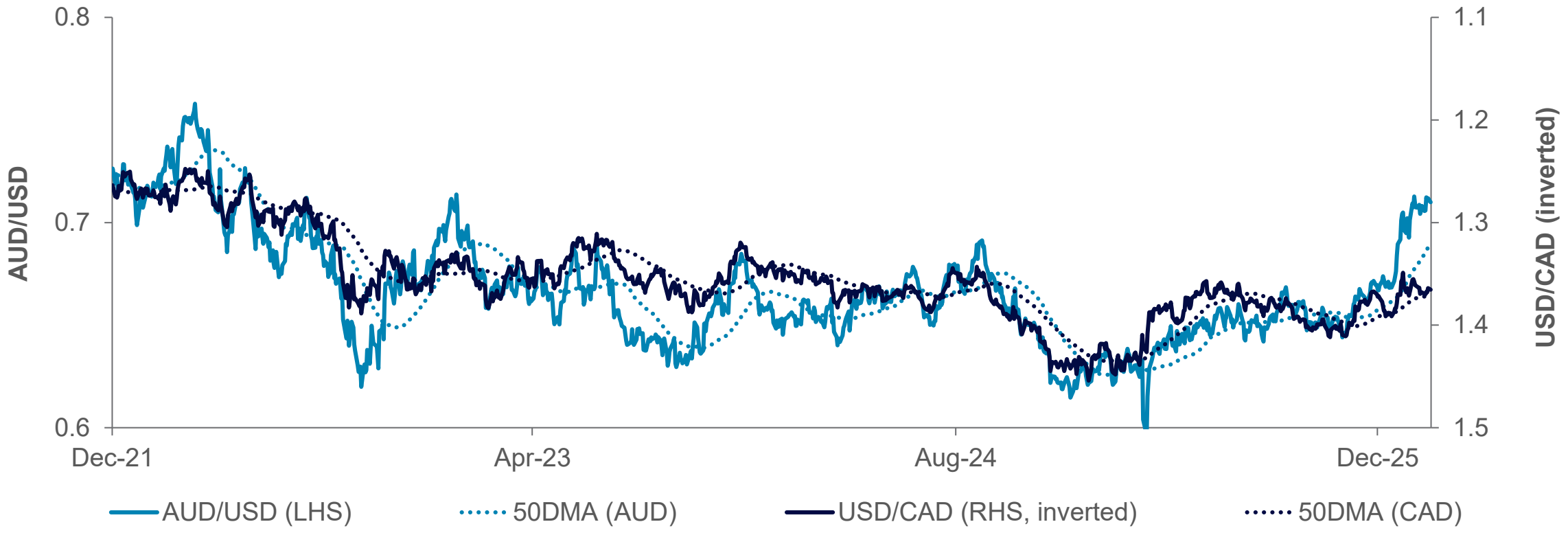
G7 currency performance during the first six month of the Iraq Invasion (20 March 2003)



Source: Bloomberg, Standard Chartered

FX: Commodities currencies well supported by higher commodity prices

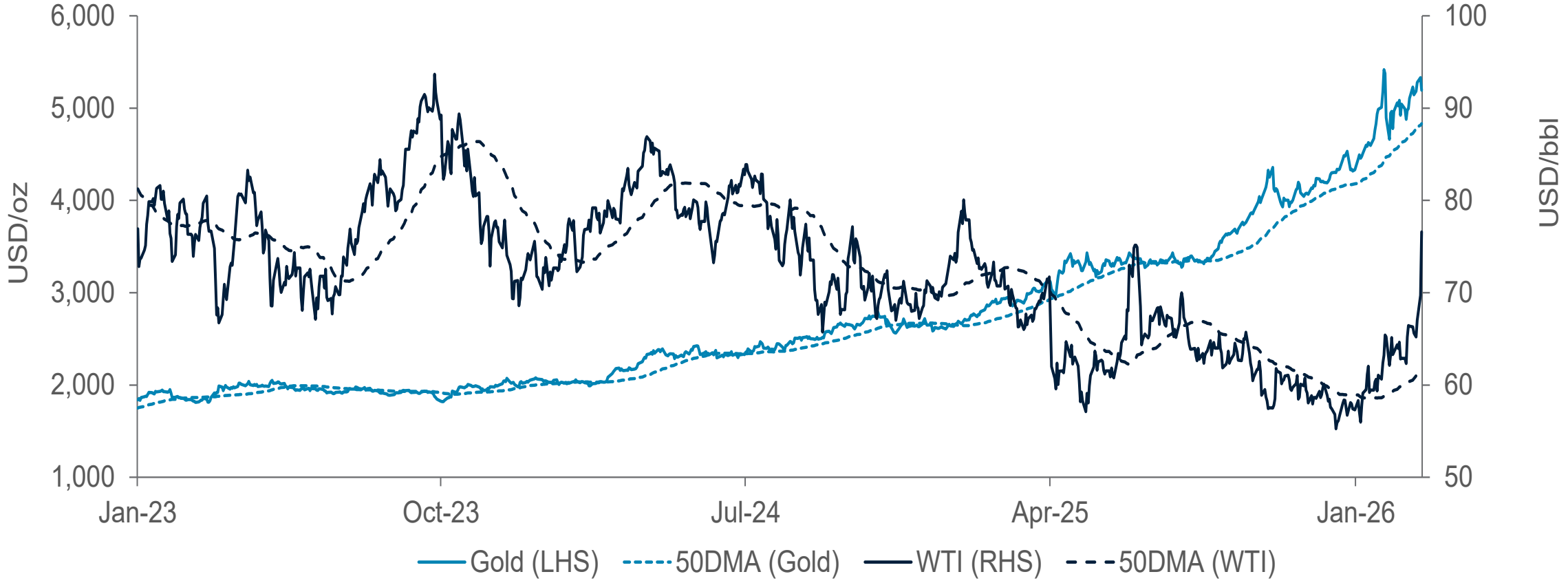
AUD/USD and USD/CAD (inverted)



Source: Bloomberg, Standard Chartered

Gold has tactical and structural tailwind from heightened geopolitical risk, irrespective of the oil price

Gold and WTI crude oil prices



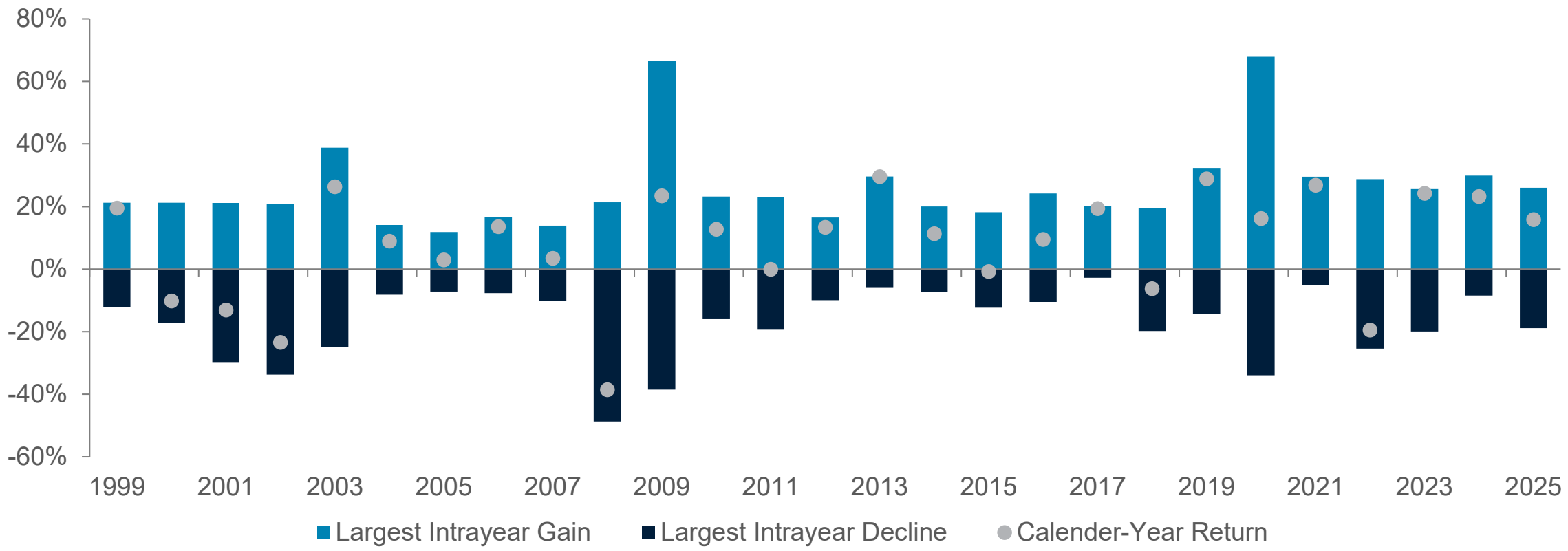
Source: Bloomberg, Standard Chartered

How to manage volatility?

Intra-year volatility common even during up-years

Volatility the price to pay for long-term returns

Calendar year returns, intra-year max gain and loss for S&P 500



Source: Bloomberg, Standard Chartered

Beware: Your personality may influence your decision making

Potential biases by investor type:

- **Comfortable:** May be overconfident. Biased to inaction even as market regime has changed
- **Conservative**: Aversion to risk, which may limit losses in the downturn, but may also fail to capitalize on market upswings due to inaction or delayed decision-making
- **Enthusiastic:** Likely to be drawn to recent trends or where the action is. Likely to speculate and take undue risks

Comfortable Investor

- Scores high on **Composure, Confidence, Financial comfort, and Internal locus of control**
- Tends to be a more experienced investor
- Likely to stay relatively calm and make reasonable decisions in turbulent times
- Scores low on **Speculation and Impulsivity**

Conservative Investor

- Scores relatively high on **Financial comfort and Internal locus of control**
- Does not take too many chances and would like to have clear investing and decision-making principles
- Less likely to invest in volatile portfolios or look for guidance during times of extreme turmoil
- Less likely to make speculative moves but would benefit from establishing a contingency plan

Enthusiastic Investor

- Scores high on **Speculation, and Impulsivity**
- Tends to be less experienced and would benefit from a pre-agreed strategy
- More likely to speculate in times of market turmoil
- Would benefit from setting aside a portion of their wealth to satisfy trading impulses without jeopardising their entire wealth

Source: Standard Chartered

Be aware: Behavioural biases to be particularly aware of in down markets

Bias	What is it?	How to address it
Recency bias	Extrapolating the recent past into the future	Step back and be a student of history to understand how things might evolve
Negativity bias	Overweighting negative information or views	Step back and think about long term progress. Understand negativity gets more views/likes
Confirmation bias	Looking for people who agree with you	Actively seek people who disagree with you and can have a constructive discussion
Hindsight bias	Assuming things that have happened were so predictable	Take notes as to why you have made certain investments. Review after unexpected gains or losses
Loss aversion	The heightened fear of losing money	Look at the upside potential and the potential magnitude/longevity of losses across your whole portfolio, not individual holdings
Overconfidence	Believing you know what is going to happen	Take a probabilistic view of the world
Pessimism	Assuming markets will crash immediately after you buy or vice versa	Don’t make it an all-or-nothing decision. Make small changes to start with
Sunk Cost Fallacy	Why we hold an investment even if we know we should sell it	Ask yourself “**If I did not own it, would I buy it today?**”
Analysis Paralysis	Over-analysing the situation	Don’t make it an all-or-nothing decision. Make small changes to start with

Source: Standard Chartered

When making investment decisions, think in terms of scenarios

Investors should think in terms of scenarios when making investments

- Nobody knows what is going to happen in the future
- Therefore, when making investment decisions you should
  1. Consider the probability of the different scenarios
  2. Assess their impact on your financial well-being in the near-term
  3. Determine how to best take advantage of emerging conditions for your long-term success (factoring in your emotions and behavioural biases)

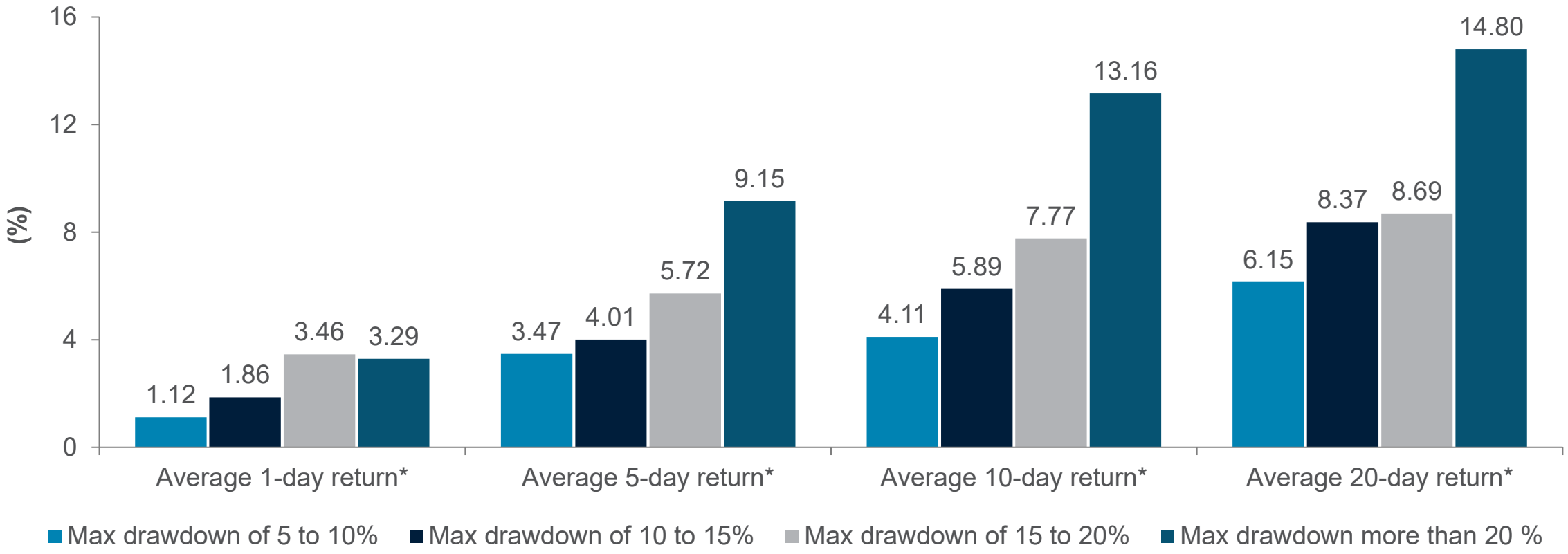
Inflation

Stagflation Cash DM over EM equities Gold	**Inflationary growth** Equities over bonds Gold HY over IG bonds EM over DM bonds
Recession Bonds over equities IG over HY bonds Gold EM over DM equities	**Growth with low inflation** Equities over bonds HY over IG bonds EM over DM bonds EM over DM equities

Growth

Fundamental concept: Time in the market matters more than timing the markets

The longer the holding period post notable drawdowns, the better the returns

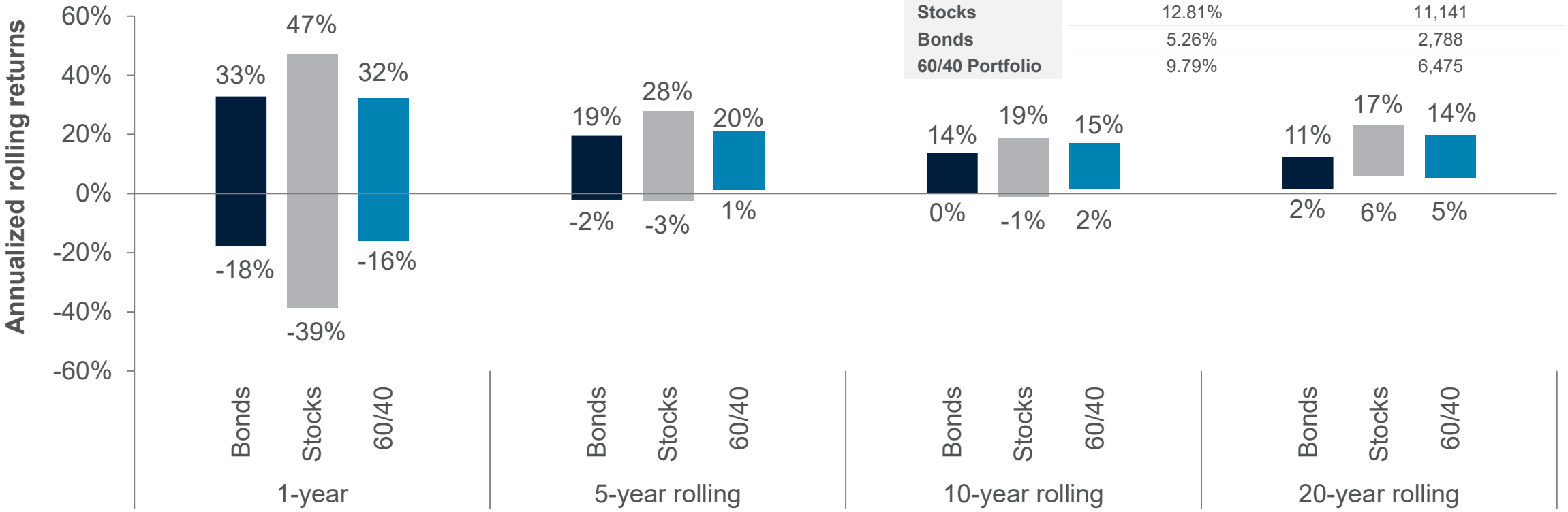


Source: Bloomberg, Standard Chartered
* Average subsequent trading day returns following a trough in prices, analysis since 1960

Probability of negative returns declines as the investing horizon extends

Longer horizon dampens return volatility

Range of stock, bond and blended total returns. Annualized total returns, 1950 - 2024



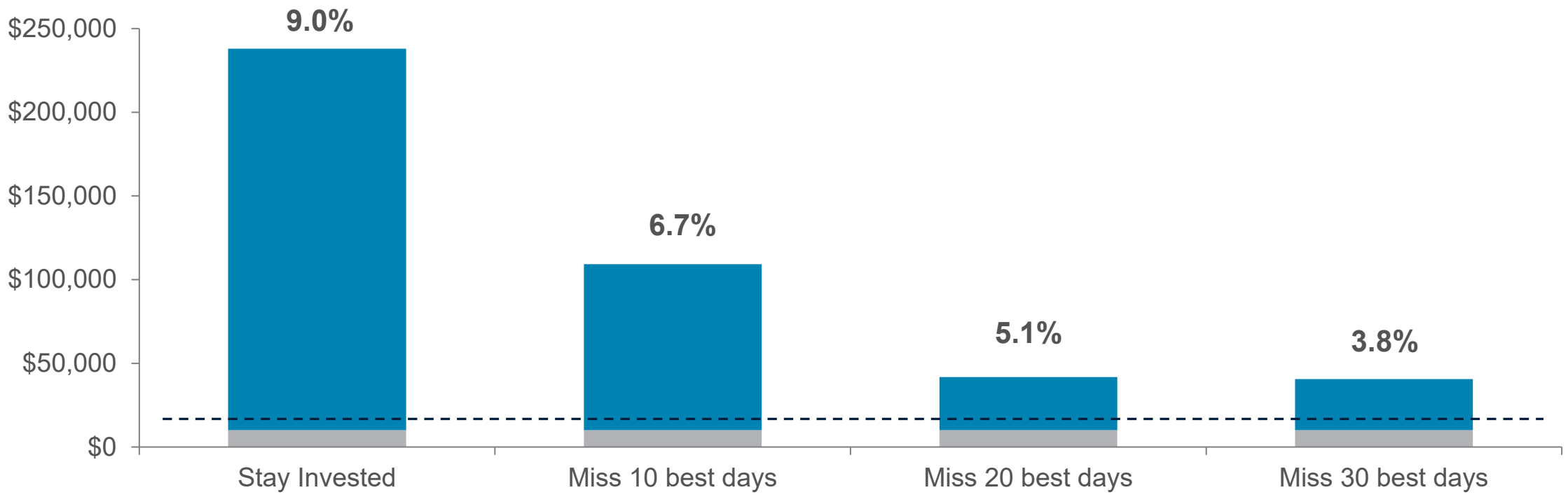
	Annual average total returns	Growth of $1,000 over 20 years
Stocks	12.81%	11,141
Bonds	5.26%	2,788
60/40 Portfolio	9.79%	6,475

Source: Bloomberg, Robert Shiller, Standard Chartered
Returns shown are based on calendar year returns from 1950 – 2024. Stocks represented by the S&P Shiller Composite Index. Bonds represented by the US 10-year yield

The cost of missing out on markets can be very detrimental to returns

Time in the markets beats timing the markets. Historically, the worst days in equity markets have tended to be followed by its best days

S&P 500 returns and annualized returns (%) using a hypothetical USD 10,000 portfolio – total and after leaving out the best 'up' days*



Source: Bloomberg, Standard Chartered

* Example of S&P 500 index returns, comparing the returns of staying invested, after taking out the 10 best days, 20 best days and 30 best days of the index

What can we do to prepare for potential opportunities during a market crisis - I

> *The stock market is the only place where everything goes on sale, and no one turns up.*
>
> ***– Anonymous***

Know yourself

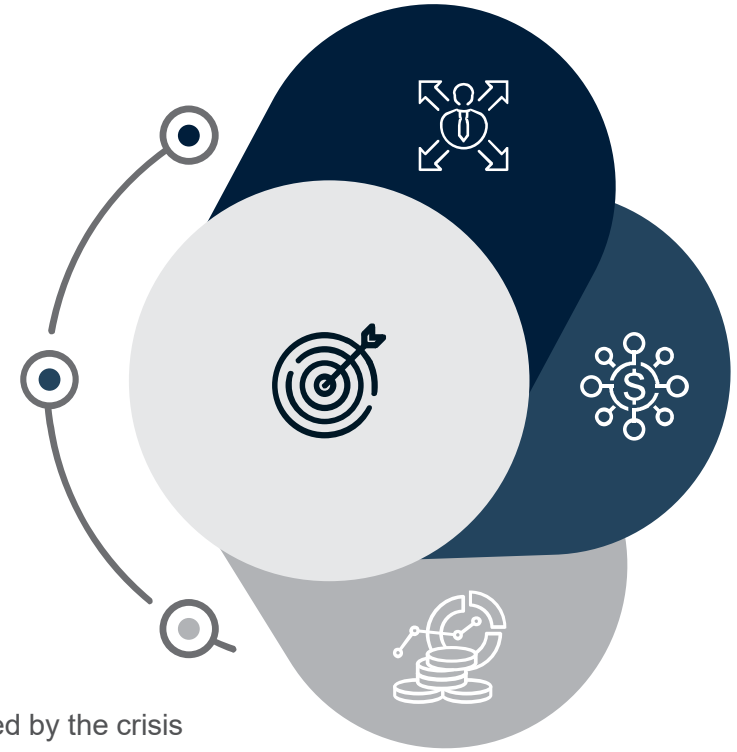
- Emotions may be ones' biggest challenge during a panic/crisis. Losses are painful. Even the most seasoned investor could panic and be at a loss for what to do next
- Look to history and remember that pullbacks or bear markets tend to be short-lived and markets have continued to rise on the back of centuries of growth and technological progress

Consider your own goals in your decision-making

- Review your existing portfolio. If it is inadequate to meet your goals, consider rebalancing accordingly
- Make sure you also set also emergency funds aside to ride through a longer-than-expected period of deteriorating market conditions

Make a plan and invest extra cash if available

- Create a shopping list of ideas to invest in
- A crisis can give investors the opportunity to:
  - **buy assets at cheaper prices**
  - **buy exposure to long term themes** that may be unduly impacted by the crisis
- Remember no one can pick the **absolute** bottom
- Start investing **(dollar cost average/lump sum)** and let your money work for you



What can we do to prepare for potential opportunities during a market crisis - II

> *An investment in knowledge pays the best interest.*
>
> ***– Benjamin Franklin***

The prudent averaging-in

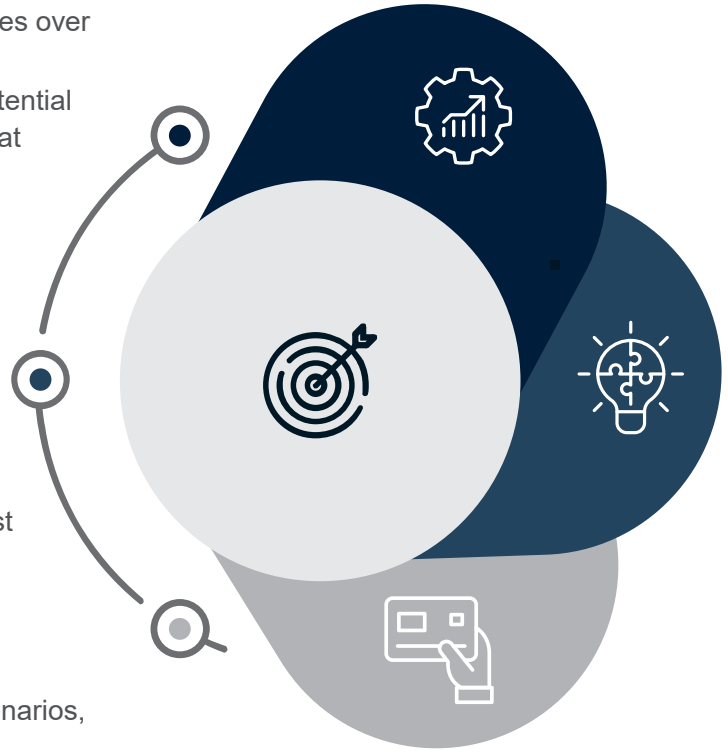
- A strategy where an investor spreads out the purchase of an investment into regular intervals and checks if things going in your directions
- **Benefits:** Avoid mis-timing the market, smooths out the cost of purchases over time, offers a potential checkpoint at every interval
- **When to use:** Can be useful in a bear market. Keeps investors from potential psychological biases and takes the emotion out of investing, especially at low points of the markets
- **Risk:** May be averaging in during a prolonged slide in the markets

The thermostat approach

- A strategy to include **balanced diversified risk** exposure, allowing investors to quickly increase or reduce the risk of their allocation
- **Benefits:** Fast, timely response to market conditions. A smarter way to adjust risk rather than herding towards the latest fads. Helps mitigate overthinking/overanalyzing tendencies
- **When to use:** Can be used in any market conditions. Well-suited for fast moving markets, minimizing effort, complexity and time to decision
- **Risk:** May be whipsawed in choppy markets

The shopping cart

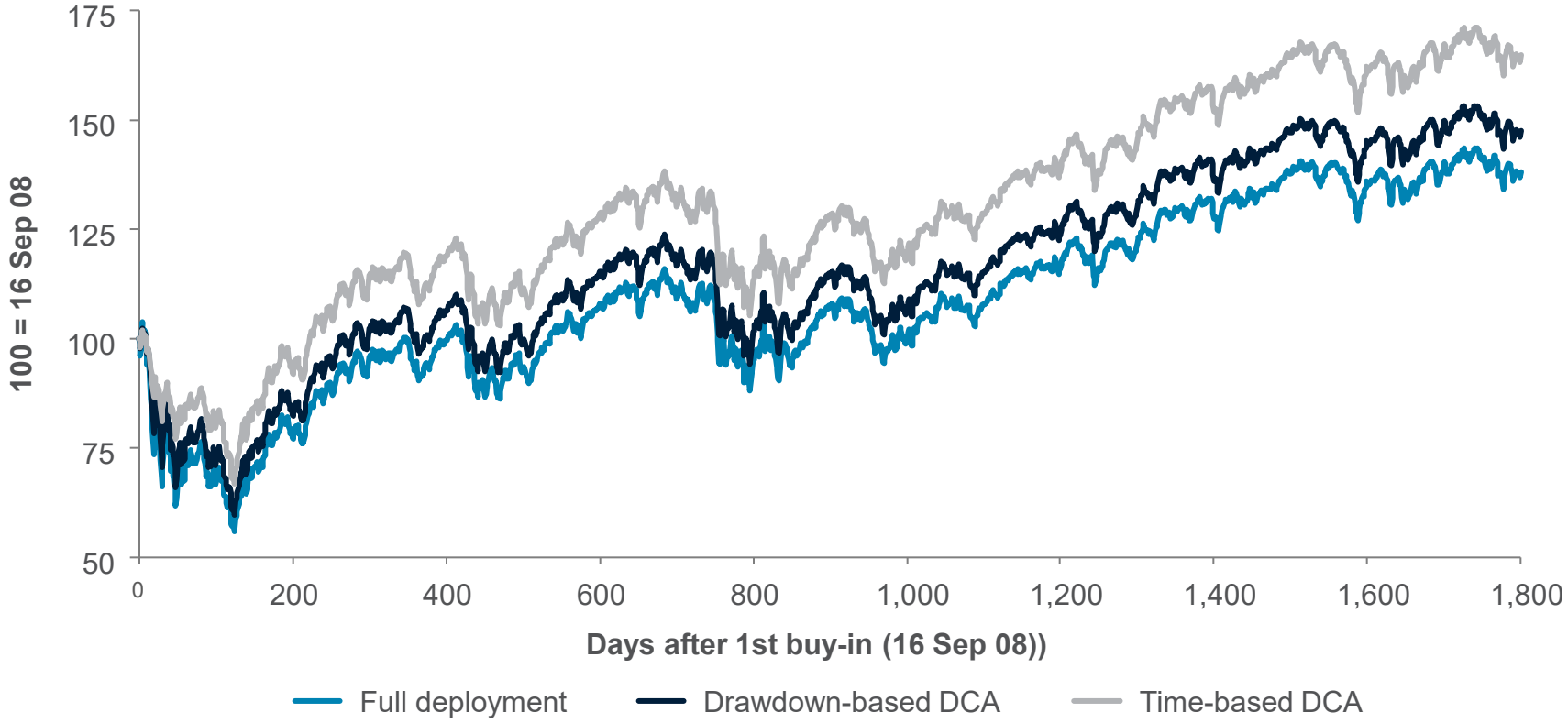
- A strategy to select asset classes which are favoured under various scenarios, if one is already well-diversified
- **Benefits:** Targeted, flexible approach to implement one's view
- **When to use:** Can be useful when one has a reasonable view on where markets are heading
- **Risk**: Views on asset classes may not pan out as expected



The “prudent” averaging-in

- Helps avoid mis-timing the market, smooths out the cost of purchases over time and offers a potential checkpoint at every interval
- A time-based dollar cost averaging (DCA) could be more superior if one believes a market decline could be prolonged
- A drawdown-based DCA could be more effective if a market decline is sharp and swift, allowing investors to capture opportunities in a more timely manner
- Having developed a DCA plan, the key to success is for investors is to keep the plan regardless of market sentiment
- **Risk:** may be averaging in during a prolonged slide in the markets

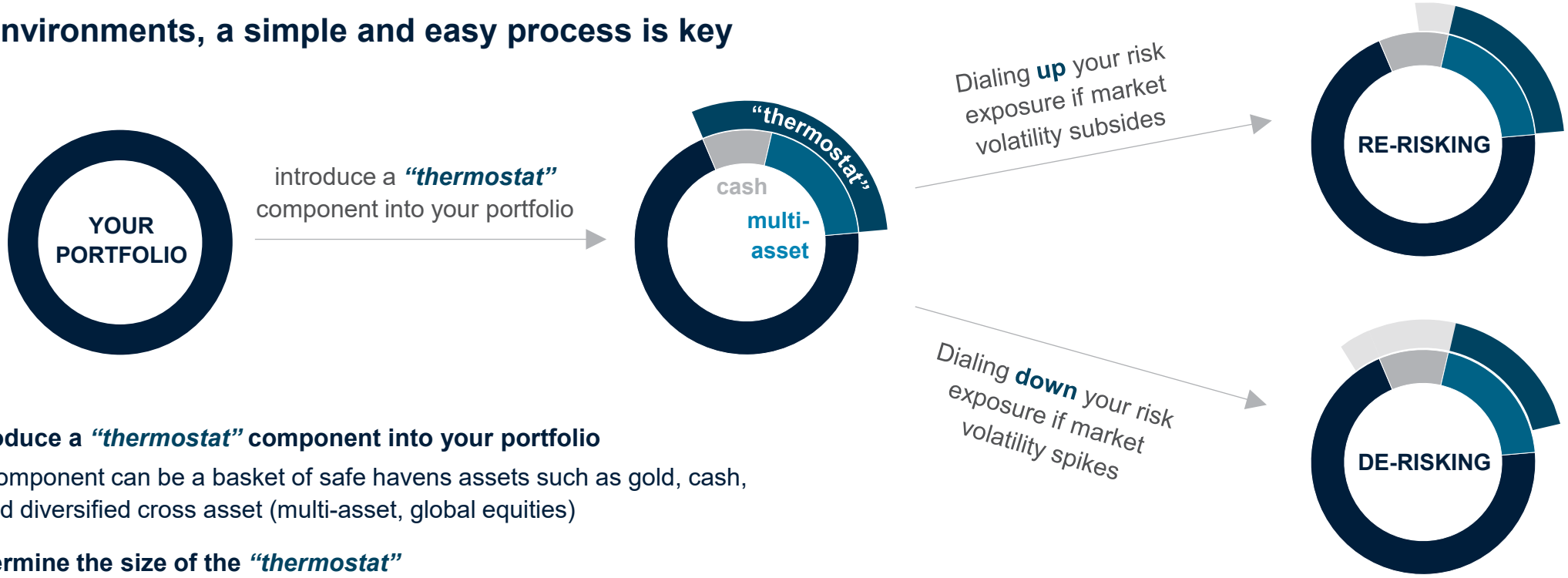
Portfolio Value



Notes:
Full deployment: An investor deploys all his/her capital at today’s level of drawdown, mapped to the GFC (16 Sep 08), then simply holds. No subsequent DCA tranches
Drawdown-based: An investor deploys 50% of his/her capital at today’s level of drawdown, mapped to the GFC (16 Sep 08). Every -5% lower from the current level, he/she adds 10% of his/her capital, up to 5 tranches
Time-based: An investor deploys 50% of his/her capital at today’s level of drawdown, mapped to the GFC (16 Sep 08). Every 1 month onwards, he/she adds 10% of his/her capital, up to 5 tranches

The “thermostat” approach for dialing risk up or down

In volatile environments, a simple and easy process is key



Step 1 – Introduce a *“thermostat”* component into your portfolio

A “thermostat” component can be a basket of safe havens assets such as gold, cash, quality bonds and diversified cross asset (multi-asset, global equities)

Step 2 – Determine the size of the *“thermostat”*

The more concentrated your existing portfolio is in single country, single region, single sector (applicable to both bond and equity), the bigger the size of thermostat component should be

Step 3 – Adjust the *“thermostat”* according to market conditions

- Should market volatility subside, dial up riskiness of the thermostat by reducing safe haven assets allocation; and increasing diversified asset allocation
- Should market volatility spikes, dial down riskiness of the thermostat by increasing safe haven assets allocation; and reducing diversified asset allocation

Source: Standard Chartered

The “shopping cart” approach

Step 01

Use historical observations for baseline assumptions

We look at size of drawdown vs. required return to recover, characteristics during recovery (magnitude, speed, return)

Step 02

Incorporate forward looking lens

We look at asset classes’ sensitivity to changes in key market drivers (monetary policy, fiscal stimulus, COVID-19 developments)

Step 03

Customize your shopping cart

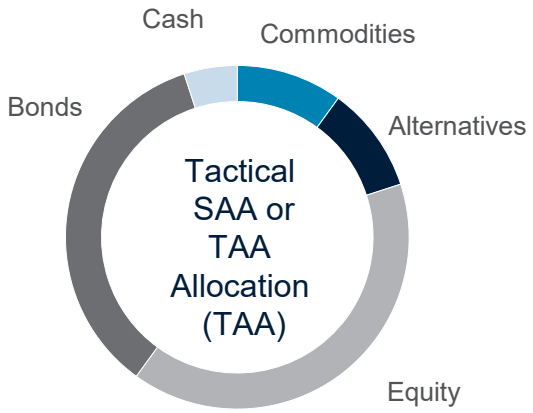
Shortlist products that can help achieve your investment objectives and suit your market outlook (de-risking portfolios, get your portfolio ready for transition to recovery)

Source: Standard Chartered

Portfolio construction

Step 01 – Create your Foundation Portfolio

Create a diversified Foundation Portfolio using the SAA (for simple market access) or TAA (for house views) as a guide



Source: Standard Chartered; See latest Global Market Outlook for portfolio allocations across risk profiles

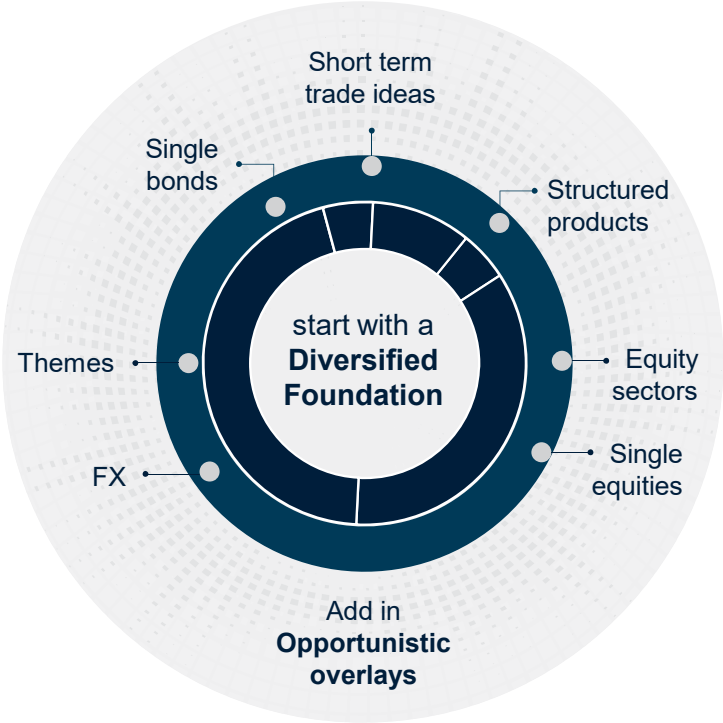
Step 02 – Add Opportunistic Overlays

Add short term (0-12 month) Opportunistic overlays if you want to add performance, enhance income, or improve portfolio diversification

Examples of Opportunistic investments	1. Security convictions (bond / equity) 2. Equity sectors / industries 3. Themes 4. FX

Step 03 – Your Investments Portfolio

Building a diversified Foundation and then adding Opportunistic overlays that suit your preferences creates a stable and personalised portfolio



Step 04 – Your Portfolio plus Insurance

Include any Protection or Insurance needs into the portfolio

Access our views 24/7 on key platforms

SC Wealth Insights

Find out more

YouTube

Facebook

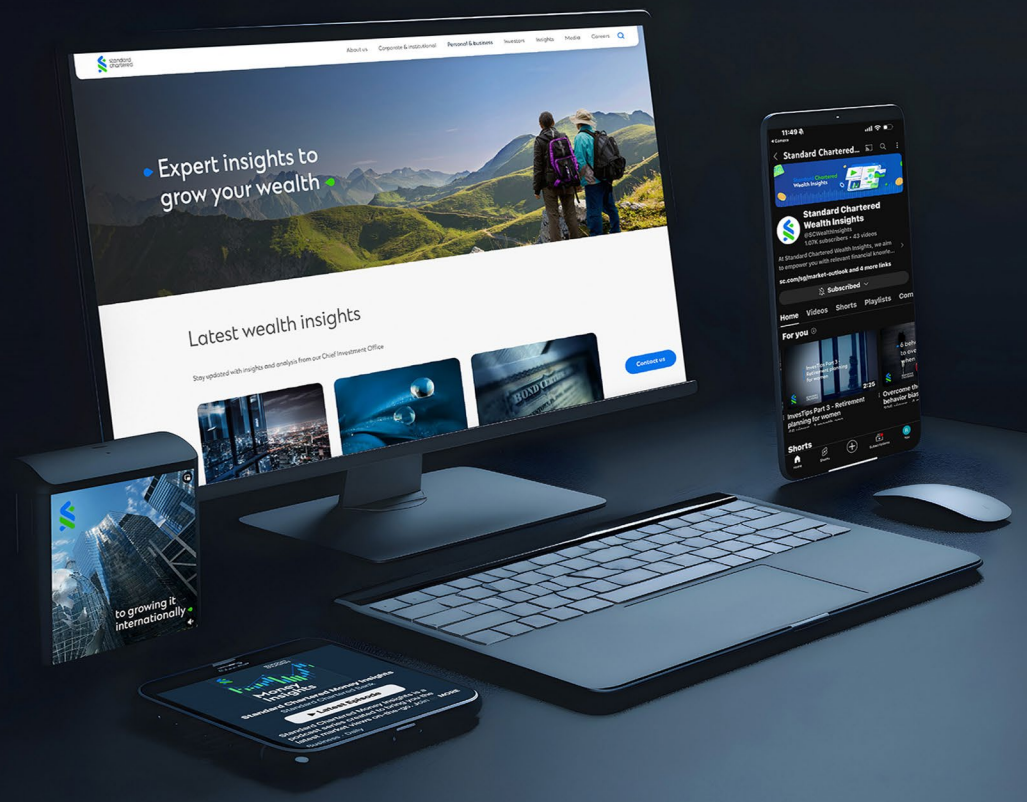
LinkedIn

SC Money Insights

4 podcasts shows on Spotify and Apple platforms

Spotify

Apple Podcasts



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WS Global CIO Office
01 March 2026

Market Watch

Iran: watching oil prices closely

Summary

Event: Iran's state TV confirmed Ayatollah Khamenei, its Supreme Leader since 1989, died after the US and Israel launched military attacks on Iran. Media reports noted retaliatory Iranian action across the region, disrupting air travel. For markets, the focus remained on the Strait of Hormuz and the risk of shipping and oil supply disruptions.

Our View: For financial markets, the main channel of risk remains energy prices via any disruption (actual or perceived) of crude oil supply. We see three oil price scenarios: (i) a temporary rise towards USD 80/bbl similar to mid-2025 based on limited conflict/return to negotiations, (ii) a quick fall in prices should all sides return to the negotiating table quickly, or (iii) a sustained rise in oil prices above USD 80/bbl from a prolonged disruption in supply, impacting growth and inflation.

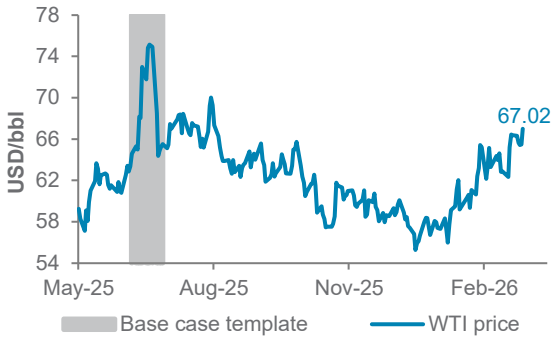
Investment strategy: As noted in the 27-February Weekly Market View, energy sector equities and US inflation-protected bonds can offer a partial hedge against a temporary surge in oil prices. Gold is also expected to do well.

Conflict returns focus to oil prices

Ayatollah Khamenei, Iran's Supreme Leader since 1989, has died after the US and Israel launched attacks on Iran. The attacks on Iran resulted in retaliatory action across the Middle East. For financial markets, the focus remains on the risk of any sustained regional conflagration and oil supply disruptions in the Strait of Hormuz and the resultant risk to energy prices. While these are early days, reports suggest some large shipping firms may consider avoiding high risk areas and insurance firms said costs could rise significantly.

Our base scenario is a short-lived conflict, similar to mid-2025, which could take crude oil prices briefly towards USD 80/bbl, before retracing to c. USD 60/bbl

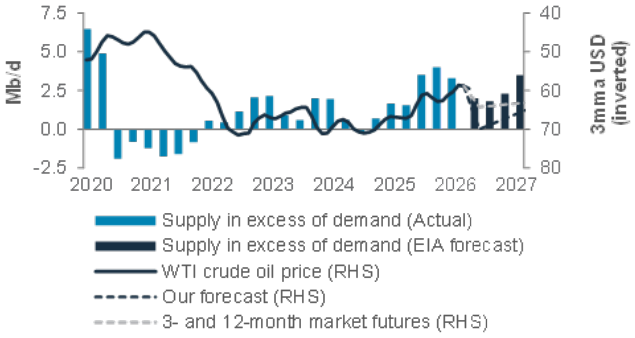
WTI crude oil price



Source: Bloomberg, Standard Chartered

The global oil market remains over-supplied. However, most of the excess supplies are in the Middle East, making duration of any conflict a key driver of oil prices

Oil supply in excess of demand, crude oil price estimates



Source: EIA, Bloomberg, Standard Chartered

Main scenarios, hedges

The length of the conflict remains key to the oil price outcome: Developments over the last 24 hours suggest a sentiment-driven jump in oil prices is likely when markets open on Monday, with WTI rising above USD 70/bbl, with a high likelihood of a move towards USD 80/bbl.

Beyond this, building on the scenarios we had initially laid out in our Weekly Market View from 27 February, we see three possible scenarios from an oil price perspective:

A relatively short-lived spike in oil prices. A relatively short-term conflict similar to the 12-day war in mid-2025. At the time, oil prices rose temporarily to USD 78.4/bbl, but quickly returned to around USD 60/bbl as an end to hostilities resulted in the focus returning to significant excess oil supply. In such a scenario, there is unlikely to be any lasting impact on inflation and risky assets beyond short-lived sentiment.

A more sustained rise in oil prices if the conflict proves to be more prolonged, and/or destabilises Iran and the broader region, resulting in a disruption to oil supplies via production, storage or shipping. Since most of the excess global supplies are from the Middle East, such a scenario would likely result in oil prices staying above USD 80/bbl over a prolonged period, with a visible impact on inflation in major economies. This could have a significant impact on risky assets.

A third scenario where all sides return quickly to the negotiating table would bring oil prices quickly back to a range around USD 60/bbl, given ample global supplies. The wider market impact in such a scenario is likely to be limited.

Focus on hedges, including energy sector equities and inflation-protected bonds: For now, we believe risk/reward favours adding hedges against a rise in oil prices. While no hedge is perfect, US energy sector equities offer moderately high correlation to oil prices, while US inflation-protected bonds offer exposure to any rise in US inflation concerns.

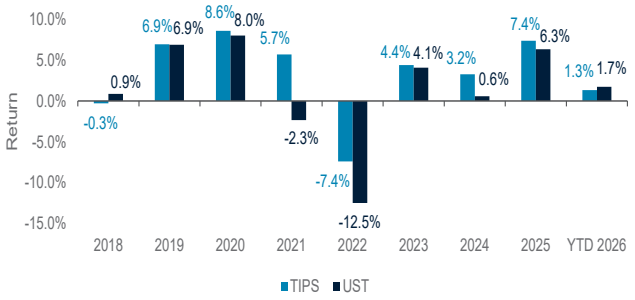
Broader safe havens likely to benefit as well. Gold remains a preferred asset class as it is likely to benefit from any search for safe-havens. We have a 6% allocation to gold in our balanced allocation. Haven currencies such as the CHF and JPY are also expected to benefit modestly, while Asian oil importer currencies are likely to weaken, in the short term.

Looking forward, we would monitor two areas: (i) any indications of the likely length of conflict, and (ii) any impact on crude oil production, storage or shipping, including through the Strait of Hormuz.

— **Manpreet Gill,** *Chief Investment Officer, AMEE*

US inflation-protected bonds are a key hedge against oil price-driven inflation. The bonds have outperformed other government bonds since the pandemic as inflation rose and remained above the Fed's 2% target

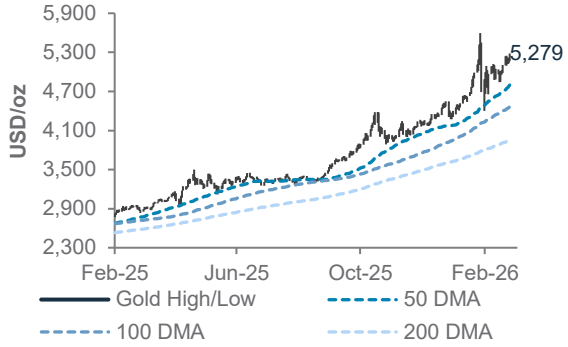
Annual return of US Treasury inflation-protected bonds (TIPS) and US government bonds



Source: Bloomberg, Standard Chartered

Gold remains a critical tactical and structural portfolio hedge amid heightened geopolitical uncertainty

Gold price



Source: Bloomberg, Standard Chartered

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WS Global CIO Office
23 February 2026

Market Watch

US tariffs: One out, one in

Summary

Event: The US Supreme Court ruled on Friday President Trump's signature import tariffs imposed under the 1977 International Emergency Economic Powers Act (IEEPA) as illegal. Trump responded by imposing a 10% tariff under a separate law (Section 122) and, a day later, raised the rate to 15%, "effective immediately". US stocks and bond yields rose and USD fell, although the moves were pared back by close.

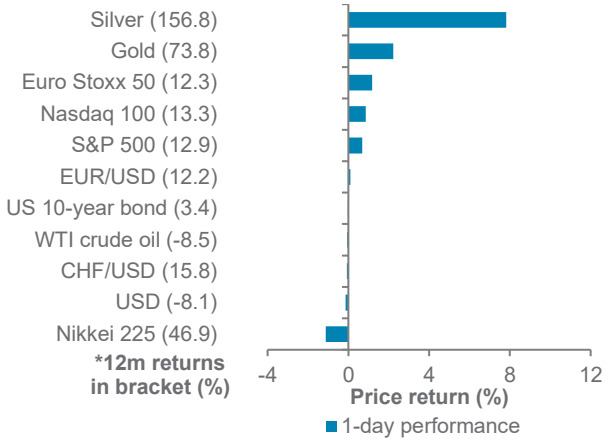
Our View: The landmark court judgement implies we are past "peak US tariff" as it restricts a US president's ability to impose blanket tariffs permanently unless explicitly authorised by Congress. However, Trump's response with a 15% tariff under other laws, while a temporary measure for now, means the net economic impact of the court decision will be limited. The main benefit would be an estimated USD 175bn (0.6% of GDP) of refunds of tariffs collected from US importers under the earlier law, although the process is likely to be protracted.

Investment strategy: The developments over an eventful weekend do little to change our investment strategy. US tariffs are likely to stay little changed and the tariff refund would eventually provide a modest boost to US importers. However, uncertainty is likely to persist as businesses and consumers await further clarity on any new tariffs and their sustainability.

While more clarity is likely to emerge in the coming week, we would stay invested in our pro-risk portfolio, focusing on solid US and global fundamentals. We expect "peak US tariff", fiscal stimulus from last year's tax cuts, lower borrowing costs from Fed's rate cuts and AI-driven investments to support US corporate earnings. US bonds and USD are likely to remain under pressure as tariff uncertainty sustains fiscal deficit risks.

Precious metals jumped after Supreme court ruling

1-day and 12-month asset class returns; as of 22nd Feb



Source: Bloomberg, Standard Chartered

Tariff authorities available to Trump

Available authority	Basis of action	Used under Trump 2.0 before 20-Feb	Can be imposed immediately?
Section 122, Trade Act of 1974	Balance of payments crisis	No	Yes
Section 338, Tariff Act of 1930	Against countries "discriminating" against the US	No	Yes
Section 232, Trade Expansion Act of 1962	Against products for "national security" reasons	Yes	No; investigation required
Section 301, Trade Act of 1974	Against countries which present "burdens" to US commerce	No	No; investigation required
Section 201, Trade Act of 1974	Against products for "safeguarding" reasons	No	No; investigation required

Source: PIMCO, Standard Chartered

Implications of court ruling, new tariffs

Peak US tariffs. The main impact of the US Supreme Court's ruling would be to limit the president's powers to permanently impose blanket tariffs under IEEPA on trade partners without Congress' explicit approval. The court reiterated that taxation powers rest exclusively with Congress. Although Trump has used Section 122 of the Trade Act (used to fix balance of payments issues) to impose the new 15% tariff, it is applicable only for 150 days, unless the Congress approves an extension, and can target only countries against which the US runs a trade deficit (which would exclude the UK and Australia, among others). Given thin Republican majorities, Congress is unlikely to approve an extension of Section 122 tariffs in July, just months before the mid-term elections in November, given the tariffs are widely seen as having raised US inflation, hurting consumers' real incomes.

Which tariffs are out: The court ruling invalidates all tariffs under IEEPA. These include: **a)** All so-called reciprocal tariffs imposed on nearly 65 countries last year (eg. 15% on Euro area and Japan, 18% on India, 20% on Vietnam, etc.); **b)** 25% tariffs on goods from Canada and Mexico which were not compliant with the USMCA trade agreement (note: impact limited here, since more than 90% of products are traded under USMCA currently); **c)** 30% additional tariffs on China imposed under IEEPA during Trump's second administration. The Yale Budget Lab estimated that removing the IEEPA tariffs (without replacing them with other tariffs) would lower the average effective tariff rate on US goods imports to 9.1% from 16.9%.

Which tariffs remain: Apart from the 15% tariff imposed this weekend on all trade partners under Section 122 (valid for only 150 days), the following tariffs under other non-IEEPA laws remain: **a)** Tariffs under the Section 232 of the 1962 Trade Expansion Act (used for national security issues), e.g. 25% tariff on steel, 25% on auto and auto parts (with exemptions for Japan and USMCA autos and auto parts), 10% on aluminium, 25% on copper, 25% on lumber, 50% on some semiconductors; and **b)** 20% tariffs on China imposed under Section 301 (used to address unfair trade practices) from 2018-19.

Forthcoming tariffs: Since the 15% tariffs under Section 122 are likely to last only for five months and any extension depends on the Congress, President Trump has directed fast-tracking of trade investigations. The outcome would likely allow Trump to use other acts to impose similar levels of tariffs as existing currently. These include: **a)** new Sections 301 and 232 tariffs against major trade partners which run large trade

Economic and fiscal effects of 2026 tariffs through 20 Feb, 2026

	Current policy (with refunds)	Current policy (without refunds)	If IEEPA upheld
Effective tariff rates, pre-substitution effects	9.10%	9.10%	16.90%
Effective tariff rates, post-substitution effects	8.00%	8.00%	14.30%
Conventional revenue boost (2026-2035) USD tn	1.2	1.4	2.7
Dynamic revenue boost (2026-2035) USD tn	1	1.2	2.3
Percent change in PCE price level, pre-substitution	0.60%	0.60%	1.20%
Percent change in PCE price level, post-substitution	0.50%	0.50%	0.90%
Average household real income loss, pre-substitution, USD	781	781	1681
Average household real income loss, post-substitution, USD	618	618	1253
Percentage point change in Q4/Q4 GDP growth, 2026	0	-0.2	-0.4
Percent change in long-run GDP	-0.10%	-0.10%	-0.31%
Change in unemployment rate, end of 2026	0.3	0.4	0.6

Source: Yale Budget Lab, Standard Chartered

surpluses with the US; **b)** potential Section 338 tariffs (used to address perceived discrimination against the US).

Economic impact: The replacement of the IEEPA tariffs with new 15% tariffs would leave the average US tariff rate on imported goods slightly below the current 16.9%, although this would last only for 150 days and depends on what other tariffs are imposed. As of now, the net economic impact would be minimal, apart from the USD 175bn of IEEPA tariff refunds (0.6% of GDP) which would boost corporate balance sheets and thus have limited multiplier effect unless firms pass on the benefits to their customers. Even then, the Yale Budget Lab estimated that the temporary positive fiscal impulse from refunds will mostly offset the negative growth impact of the remaining tariffs for 2026.

Fiscal impact: The USD 175bn refund would increase the 2025 fiscal deficit to USD 1.9tn, from around USD 1.7tn, although the future fiscal impact will depend on the sustainability of the new tariffs. Comments from Trump, Treasury Secretary Bessent and Commerce Secretary Lutnick suggest tariffs will remain a key source of government revenue under the Trump administration.

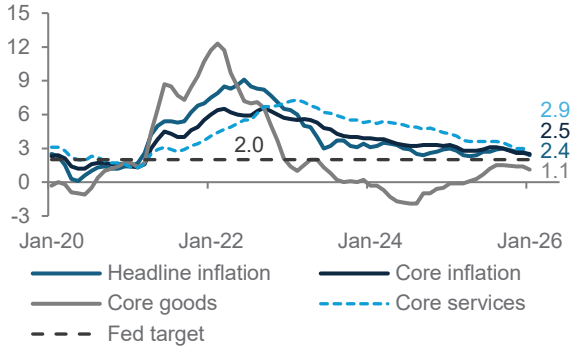
Downside risks: The outcome of the tariffs negotiated by the administration with various trade partners under IEEPA, and which are still to be ratified by the Senate, or through various free trade agreements (USMCA, etc.) remains unclear. However, most trade partners are unlikely to challenge the replacement 15% tariffs imposed under Section 122 at least until more clarity emerges whether they will last beyond July.

The impact of other new tariffs (once more clarity emerges) would be varied across products and countries, creating winners and losers. This is likely to sustain trade policy uncertainty, which has undermined non-AI related US capital investment over the past year (US non-tech capex contracted and the manufacturing sector lost 83,000 jobs last year, a rarity outside of a recession).

Upside risk: Nevertheless, there is an outside chance the administration could use the court ruling to taper down tariffs in an election year, especially given their unpopularity. The tariffs have lifted US inflation roughly by around 50bps (a New York Fed survey showed consumers bore most of the brunt from higher tariffs). Lower tariffs would enable the Fed under a new Chair to cut rates more than 50bps currently estimated by markets. Nominated Fed Chair Walsh believes that tariffs have temporarily lifted US inflation and expects to cut rates significantly to revive a weak US job market. US job creation last year averaged only 15,000 per month vs. around 30,000 net new jobs needed to keep the unemployment rate stable.

US inflation rates have remained well-contained thus far despite tariffs

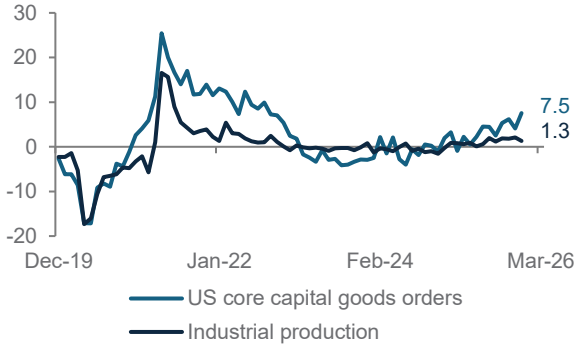
US inflation %y/y



Source: Bloomberg, Standard Chartered

An uptick in capital goods orders points to more balanced growth ahead

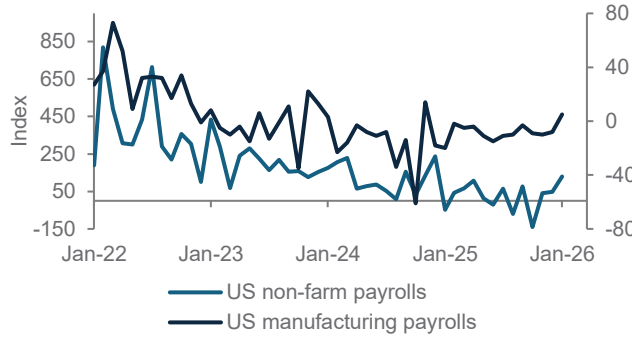
US capital goods orders vs Industrial production



Source: Bloomberg, Standard Chartered

Most recent US job market data shows uptick after a period of weakness, but manufacturing remains weak

US Non-Farm Payrolls vrs manufacturing payrolls (RHS)



Source: Bloomberg, Standard Chartered

The administration has been easing tariffs in targetted consumer-facing areas in recent months, including broad exemptions covering more than a third of US imports, including smartphones, data processing units and generic drugs. In recent months, it has removed or eased tariffs on key food items such as coffee and beef and is considering ways to narrow the impact of steel and aluminium tariffs.

Impact on equities: We expect modest earnings tailwinds from reduction in the effective tariff rate but investors should not get overexcited about earnings upside as the situation remains fluid with the new 15% tariffs. Supply chain relocations are the "new normal" and capex intensity is likely to remain high. Still a potential reduction in tariffs heading into the mid-term elections should support equity valuations, with focus shifting to fundamentals which in our view remain robust. Big catalysts during the coming week include results from leading semiconductor companies. Meanwhile, almost USD 150bn of additional tax refunds are likely to hit household accounts in the coming weeks as a result of last year's tax cuts. Within global equities, we continue to prefer US and Asia ex Japan equities, with more clarity on tariffs to disproportionately benefit export-driven markets in north Asia.

Impact on bonds, USD and gold: US government bonds and the USD will remain under downside pressure from continued tariff-related fiscal uncertainty. While the new 15% tariffs largely offset the IEEPA tariffs struck down by the Supreme Court, progressively lower tariffs in the run-up to the mid-term election portends to raise the fiscal deficit. Nevertheless, the administration remains focused on using tariffs as a key source of revenue. Hence, we expect the impact of bond markets will be limited, with the US 10-year government bond yield capped around 4.25%.

The USD continues to face downside pressure from policy uncertainty. We expect the USD index (DXY) to edge marginally lower towards 96 by the end of the year. Gold remains one of our preferred assets amid steady demand from EM central banks and investors amid continued US policy uncertainty and the USD's weakness. We expect gold to gradually rise towards USD 5,350 by the year end. Any escalation in the US-Iran tensions, with the US military expanding its naval presence in the Gulf to put pressure on Iran to reach a nuclear deal, could boost oil and gold prices in the near-term, although we expect oil prices to eventually settle lower towards USD 60/bbl, given abundant supplies.

— **Rajat Bhattacharya,** *Senior Investment Strategist*

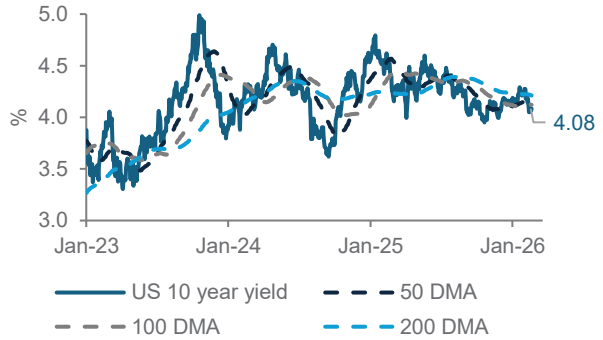
US earnings growth expected to be strong in 2026, though Asia ex-Japan expected to outperform

Projected earnings growth by major region in 2026

Source: Bloomberg, Standard Chartered

US bond yields have thus far remained capped

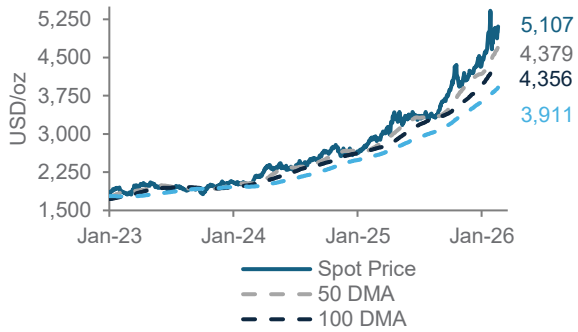
US 10-year government bond yield



Source: Bloomberg, Standard Chartered

Gold continues to perform well amid elevated geopolitical uncertainty

Gold spot price



Source: Bloomberg, Standard Chartered

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WS Global CIO Office
19 February 2026

Market Watch

CHF to remain well-supported

Summary

Event: USD/CHF has fallen below the key 0.78 level. This strength in the CHF comes against the backdrop of a weakening of the broader USD Index in recent weeks.

Our View: US Dollar weakness, high real (net-of-inflation) Swiss interest rates and safe haven demand have resulted in a stronger CHF year-to-date. We see room for this move to extend further given our weak-USD view. Intervention and negative interest rates are risks to our view.

Investment strategy: We expect USD/CHF to fall to 0.75 and 0.74 over the next 3m and 12m respectively. More broadly, carry trades concentrated only around the CHF are expected to continue underperforming a diversified carry strategy.

Weak-USD, safe haven behind strong CHF

CHF remains a carry trade favourite, despite recent strength: Investors adopting a 'carry strategy' (ie. a strategy involving borrowing in low-interest rate currencies and investing in higher yielding currencies or investments) continues to focus on the CHF, given its zero interest rate borrowing costs. However, recent strength in the currency has more-than-negated the borrowing cost advantage.

USD weakness, real rates, safe haven support CHF: The CHF has strengthened in recent weeks as a result of significant US Dollar weakness, still-high Swiss real (net-of-inflation) yields and safe haven demand. We continue to expect further USD weakness given our expectations of further Fed interest rate cuts this year. Meanwhile, a very low level of Swiss inflation means that real interest rates on the CHF remain high, proving to be a support for the currency.

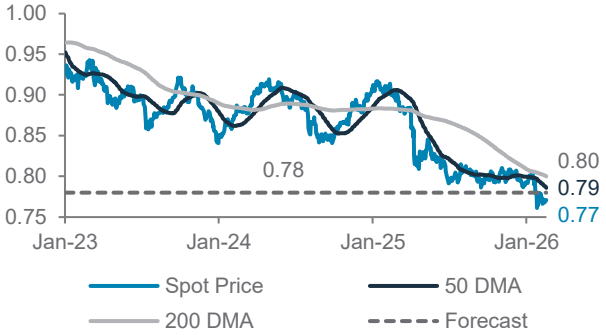
A carry strategy based only on CHF has significantly underperformed a diversified basket-based carry strategy

Bloomberg G10 FX carry strategy index (long top-three yielding, short bottom-three yielding). USD/CHF carry index

Source: Bloomberg, Standard Chartered

USD/CHF's break below 0.78 has opened the door to further weakness ahead

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Finally, recent strength in gold and sector rotation within equities away from AI themes (particularly software) towards non-AI sectors and markets raised safe haven demand for Swiss assets, another support for the CHF.

Fundamentals expected to remain CHF-supportive: On the fundamental front, we expect the CHF to remain supported by a weak USD. We expect the USD Index (DXY) to fall further towards 96 over both 3m and 12m horizons, which should result in further strength in non-USD currencies including the CHF. Real Swiss interest rates are also expected to stay high given inflation remains close to zero. Safe haven demand should abate, but any rebound resulting from this is likely to be relatively muted.

Direction of relative interest rates expected to continue moving against the USD. Our expectation of three more Fed rate cuts this year, combined with largely unchanged Swiss policy rates, mean that the interest rate advantage of the USD will continue to be eroded. This narrowing gap between US and Swiss interest rates is expected to be the key driver of a weaker USD and a stronger CHF.

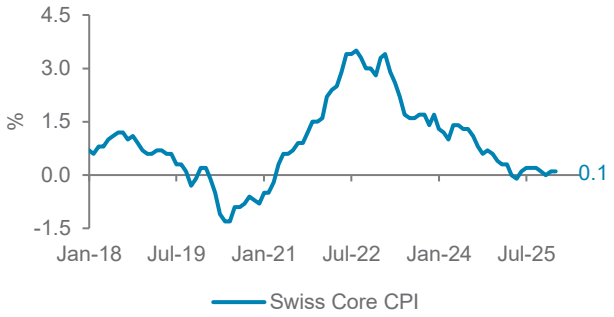
Technically, the break in USD/CHF below 0.78 has opened up room for further downside. Any short-term rebounds are expected to remain limited to 0.78, but we see the break below this level, which has held several times in recent months, as pointing to further CHF strength (ie. Downside in USD/CHF). Any direct SNB intervention in FX markets and/or a move to negative interest rates are risks to our view.

Diversified carry strategies continue to outperform concentrated strategies. As the first chart on page 1 illustrates, a carry trade strategy that is focused on the USD/CHF pair alone significantly underperformed a more diversified basket-based approach. We expect this to continue to be the case in the context of our USD/CHF views.

— **Manpreet Gill,** *Chief Investment Officer, AMEE*

Stronger CHF raising deflation risks for the Swiss economy via falling imported prices

Swiss CPI inflation %y/y



Source: Bloomberg, Standard Chartered

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